1D2: ⚰️ Pension & Financial Inclusion

Table of Contents

18 💁‍♂️ → 👶🏻 (💰📅) PENSION (पेंशन)..... 297

18.11.1 💾 EPFO / APFC Exam Strategy / PYQ booklet?..... 297

18.12 👶🏻🦁 Employee Provident Fund Org. (कर्मचारी भविष्य निधि संगठन)..... 298

18.12.1 EPFO → Employee Provident Fund Scheme (EPF-1952)..... 298

18.12.2 EPFO → Employees Deposit Linked Insurance Scheme (EDLI-1976)..... 298

18.12.3 EPFO → Employee Pension Scheme (EPS-1995)..... 298

18.12.4 EPFO: more facts..... 299

18.12.5 👨‍💼👶🏻 EPF Commutation (2020)..... 299

18.12.6 ✅ EPFO raises auto settlement of claims limit from ₹1L to ₹5L (2025)..... 299

18.12.7 → EPFO-CITES CPPS: Centralized Pension Payments System..... 300

18.12.8 EPFO : Higher pension rule for those earning over ₹15,000 = NOT IMP for Exam..... 300

18.12.9 👶🏻👶🏻 EPF (Provident Fund) withdrawal categories 13 se 3 (2025)..... 300

18.12.10 👶🏻👶🏻 EPFO 75% withdrawal if job loss- controversy (2025)..... 300

18.12.11 👶🏻👶🏻 EPFO 3.0 reform – CBS adoption (2026)..... 300

18.12.12 🐯 EPFO pe RBI oversight increased to improve investment returns (2025)..... 301

18.13 🔪 EPFO 2026 News Updates..... 301

18.13.1 🔪 EPFO Credits Interest for 35 Cr Accounts on Time, First Time (2026)..... 301

18.13.2 🔪 EPFO Launches 'Vishwas 2026' Dispute Resolution Scheme..... 301

18.13.3 🔪 EPFO TRS Option (proposed)..... 301

18.13.4 🔪 Singapore's Central Provident Fund (CPF)..... 301

18.14 👦👨‍💼👶🏻 Govt Schemes for EPFO Contribution..... 301

18.14.1 👦👨‍💼👶🏻 (2016) Pradhan Mantri Rojgar Protsahan Yojana (Labour Min)..... 301

18.14.2 ☠️ Atmanirbhar Bharat Rozgar Yojana= Subsidy from Central Govt in EPFO contribution..... 302

18.15 👷‍♂️👛 ELI Scheme - Employment link incentive scheme (ELI)..... 302

18.15.1 👷‍♂️👛 ELI-Part A: FRESHER worker ko to get ₹15k= PM Viksit Bharat Rozgar Yojana..... 302

18.15.2 👷‍♂️👛 ELI-Part B: Support to Boss/Maalik/Owner..... 303

18.15.2.1 👷‍♂️👛 ELI-Scheme C: Support to employers (target 50 lakh jobs)..... 303

18.15.3 🚩👶🏻 FAQ: "why not merge EPFO with ESIC!!? "..... 303

18.15.4 Coal Miner's pension: CMPFO → C-CARES portal..... 303

18.16 👨 → 👶🏻 Pension for Govt Employees? = OPS, NPS, UPS?..... 303

18.16.1 🙋‍♀️ FAQ: Which PM started NPS? Ans. Vajpayee..... 304

18.16.2 👨 → 👶🏻 Pension: NPS: T V Somanathan committee & UPS (2023)..... 304

18.17 👨‍💼 UPS-Unified Pension Scheme for govt employees. (एकीकृत पेंशन योजना)..... 304

18.17.1 👨‍💼 UPS-Entitlement for govt employees? (कितने पेंशन की गारंटी है?)..... 305

18.17.2 👨‍💼 Old Pension Scheme (OPS) in Non-BJP States..... 305

18.17.3 👨‍💼 NPS like schemes in Tamilnadu (TAPS) & Andhra Guaranteed Pension Scheme (GPS)..... 305

18.17.4 🌑 NPS : penny drop verification mandatory (2023)..... 305

18.17.5 🛵🍕 NPS e-Shramik Model by PFRDA to enrol gig workers (2025)..... 305

18.18 👨 → 👶🏻 NPS for people not in govt job..... 305

18.18.1 👨 → 👶🏻 NPS-Lite (Swavlamban) (2010)..... 305

18.18.2 👶🏻 NPS-Vatsalya for minors (kids) in 👛 Budget-2024..... 306

18.18.3 👨 → 👶🏻 NPS: Minimum Assured Return Scheme (MARS) for non-govt employees..... 306

18.18.4 👶🏻👶🏻 NPS =>Pvt Citizen=> multiple scheme framework (MSF-2025)..... 306

18.18.5 👴🏽📖 → 🤳 Jeevan Pramaan (2014)....306

18.19 👴🏽→👴🏽 Pension for Senior Citizens WITH CAPACITY to Invest?....307

18.19.1 Pradhan Mantri Vaya Vandana Yojana (2017-DFS, LIC) - discontinued ~2023....307

18.20 👨‍🦱→👴🏽Pension for Poor People WITH capacity to INVEST?....307

18.20.1 👩‍⚖️👴🤲💰 : 👴 Pension: Three Maan Dhan Yojanas....308

18.21 🤷‍♂️→👴🏽 Pension for Poor People WITHOUT capacity to INVEST?....309

18.21.1 Pension types: Defined Contribution vs Defined Benefit....309

18.22 🟦ES25's observations on Pension Sector....309

18.22.1 👦👴🏽 Pension sector challenges as per 🟦ES25:....309

18.22.2 👦👴🏽 Pension market not yet fully developed in India says 🟦ES25:....310

18.22.3 👦👴🏽 Micro pension scheme problems as per 🟦ES25:....310

18.22.4 👦👴🏽 Britain's PAYGO schemes & demographic changes- 🟦ES25:....310

18.22.5 👶👴🏽 Pension sector challenges- 🟥ES26:....310

18.23 👴🏽👮 PFRDA, the Pension Funds' Regulator....311

18.24 🛬👨‍🦱Social Security for Overseas Indians (Pension / Insurance)....311

18.24.1 🛬👨‍🦱Pravasi Bharatiya Bima Yojana, 2017....311

18.24.2 👦👴🏽🤝 Pension: Totalisation pact- India-USA negotiation....312

19 (👩‍🌾👵🏽) →💳1D3: Financial Inclusion (वित्तीय समोवेशन)....312

19.11 (👩‍🌾👨‍🦱:💰)→💳 Fin. inclusion: Bank accounts for Everyone....312

19.11.1 👴(👩‍🌾👨‍🦱:💰)→💳 Pradhan Mantri Jan Dhan Yojana (PMJDY: प्रधान मंत्री जन धन योजना)....313

19.11.2 🤳 Jan Dhan Darshak App (2018)....314

19.12 (👩‍🌾👨‍🦱:💰)→ 🥊 Fin inclusion: Investments other than Bank....314

19.12.1 👛👧Small Savings: Mahila Samman Bachat Patra (2023)....314

19.12.2 👛👴Small Savings: Senior Citizen Savings Scheme limits hiked....314

19.12.3 (👧:💰)→(👰:💳)Sukanya Samriddhi Yojana (2015)....315

19.12.4 🤴 PoSB pe RBI oversight increased (2025)....315

19.12.5 ⭐📪👥 Five Star Village scheme by Dept of Post (2020)....315

19.12.6 🪶💀📪👥 Sampoorna Bima Gram Yojana (2017)....315

19.12.7 🪶💀💸👥 Model Insurance Villages (MIV) proposal by IRDAI (2021)....315

19.12.8 (👩‍⚖️👨‍🦱:💰)→ 📦 Chit Funds....315

19.12.9 ⚖️📦😩 Banning of Unregulated Deposit Schemes Act, 2019....316

19.13 👩‍🦱👨‍🦱 ←(💰🔪) Financial inclusion: Credit (Loans: ऋण)....316

19.13.1 (💰🔪)↗️💳=(💰💰) Refinance (पुनर्वित्त)....316

19.13.2 👩‍⚖️👨‍🦱:👴 ←(💰🔪) Credit Guarantee (ऋण अदायगी गारंटी)....316

19.13.3 🔪 Credit guarantee cover increased in 👛Budget-2025:....316

19.13.4 🔪 Financial inclusion: Credit Guarantee Fund for Education Loans (CGFEL)....316

19.13.5 🔪Financial inclusion: Credit Guarantee various orgs....317

19.13.6 👻👶🏭 MSME: Definition changed in ATMANIRBHAR (2020)....317

19.13.7 👻🔪 👶🏭 MSME Non-NPA borrower → ECLGS 1.0....318

19.13.8 👻🔪 👶🏭 MSME Non-NPA borrower → ECLGS 2.0 (Atma-Nirbhar 3.0)....318

19.13.9 🔪💥 ECLGS 5.0 to help MSME & Airlines in Iran War(2026-May)....319

19.13.10 👻🔪 👶🏭 MSME NPA borrower → Subordinate Debt (गौण ऋण)....319

19.13.11 👻💳👶🏭 MSME → Equity infusion via Fund of Funds (निधियो की निधि)....319

19.14 🏭🔪 👛 Budget-2024: MSME Loan announcements....319

19.14.1 🏭🔪 👛 MSME Faster loan approval via digital footprint 👛Budget-2024:....319

19.14.2 🏭🔪👛 Budget-2024: CREDIT GUARANTEE FOR MSMEs IN THE MFG SECTOR....319
19.14.3 🔪🚢 Interest Equalization Scheme for MSME-exporters....319

19.15 NBFC → Mudra (2015, 100% SIDBI subsidiary)....320
19.15.1 🙋Stand Up India Scheme, 2016 (उत्तिष्ठ भारत)....321
19.15.2 👫Self-help group (स्व-सहायता समूह) → Credit....321
19.15.3 🤑👮 PM Street Vendors's AtmaNirbhar Nidhi Scheme (PM-SVANidhi)....322
19.15.4 🤑👮SVANidhi → Main Bhi Digital (2021)....322
19.15.5 🤑👮 SVANidhi → Rashtriya Udyamita Vikas Pariyojana (2024)....322

19.16 🪡🧵 PM Vishwakarma Scheme for loan & skill training (2023-Sept)....323
19.16.1 → PM Vishwakarma Loan Interest on PM Vishwakarma....323
19.16.2 👩‍🌾💳 Kisan Credit Card (1998)....323
19.16.3 👩‍🌾🔪 Farm Loans → collateral free loans quota ⇑ by RBI....324
19.16.4 👩‍🌾🔪 Farmers → Modified Interest Subvention Scheme(MISS/KCC)....324
19.16.5 👩‍🌾🔪 Farmer → loan quota of MISS-KCC ⇑ in Budget-2025:....324
19.16.6 🤴🔪RBI increases loan limits for KCC and micro-small ent (2026)....324

19.17 🌽🔪💰🎈 Farm Loan Waiver (कृषि ऋण माफी)....325
19.17.1 →Agri-Finance Loan waivers for the farmers....325

19.18 🪶👵 Financial inclusion: Insurance & Pension....325
19.18.1 🪶🔬 Micro Insurance (सूक्ष्म बीमा)....325
19.18.2 🏍️🍴🚕 Gig Workers' social security code (गिग कर्मी की सामाजिक सुरक्षा संहिता)....325
19.18.3 🍕🛵⚖️ Gig Workers definitions in Code on Social Security, 2020....325
19.18.4 🍕🛵💰 Social Security Fund for Gig Workers in Code on Social Security, 2020....325
19.18.5 👛Budget-2025: Loans, Financial inclusion, MSME, Gig-worker....326
19.18.6 ⚖️ UNORGANISED WORKERS' SOCIAL SECURITY ACT, 2008....326

19.19 👩‍🦰👨‍🦳: 👮Financial Inclusion: Customer Protection (ग्राहक सुरक्षा)....327
19.19.1 😾 RBI's 3 Ombudsman (ओमबड्समेन/ शिकायत निवारण अधिकारी/लोक प्रहरी)....327

19.20 🌐🦁 Financial Inclusion: WEB Portals....327
19.20.1 🤳PaiSA Portal (2018) Outdated. Deleting it....327
19.20.2 ⏰🔪💻 psbloansin59minutes.com (2018)....327
19.20.3 🤳Jan Samarth Portal (2022)....327
19.20.4 🤳 Portal: SARTHI (Insurance) Portal for farmers and villagers (2024)....328
19.20.5 📲🌤️ Portal: PM-SURAJ loan portal for weaker section (2024-Mar)....328
19.20.6 🙅‍♂️♿ Financial inclusion: right to digital access - SC Judgement (2025)- ref Mains HDT....328

19.21 📈🌐🦁 Financial Inclusion: various reports (भारत का प्रदर्शन)....328
19.21.1 ✍️ Mains Answer Writing ki pipudi....328

18 👨🔧 → 👴 (💰🗓️) PENSION (पेंशन)

- 🪶**Insurance**: person/his family eligible to receive ₹ ₹ if he suffers death / damage. e.g. PM Jeevan Jyoti: ₹ 2 lakhs on death. जीवन बीमा का लाभ लेना है तो व्यक्ति का मरना जरूरी है
- 👵**Pension**: Person eligible to receive monthly ₹ ₹ when he retires. And when he dies, his wife (is usually) eligible to receive monthly ₹ ₹. When she also dies, scheme stops. बुढ़ापे में पेंशन मिलता रहे. आपके मरने पर आपके पति या पत्नी को भी पेंशन मिलता रहे।

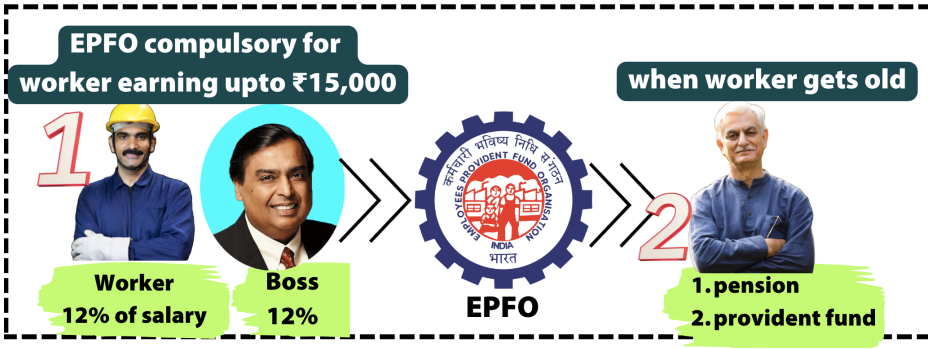
18.11.1 💾 EPFO / APFC Exam Strategy / PYQ booklet?

- Download PYQ booklet from unacademy.com/content/upsc/epfo/

- on its page5 i've given my observations / tips

18.12 EMPLOYEE PROVIDENT FUND ORG. (कर्मचारी भविष्य निधि संगठन)

- 1951-52: EPFO was setup initially by ordinance & then Act.
- Nodal: Labour Ministry (श्रम मंत्रालय).
- EPFO governed by Tri-partite "Central Board of Trustees" त्रिदलीय केन्द्रीय न्यास बोर्ड -
  - I. Government (Union + state) – 15 nominees (मनोनीत सदस्य)
  - II. Employers (industrialists) - 10 nominees
  - III. Employees (workers) – 10 nominees
- They decide where to invest money (usually G-sec>C-Bonds>Shares; with minimum and maximum slabs) and they decide how much interest should be paid to subscribers.



18.12.1 EPFO → Employee Provident Fund Scheme (EPF-1952)

⇒ Principal + interest returned upon retirement age/ death.

⇒ Interest Rate: 8.5%(2020-21) → 8.1%(2022-23, lowest in last 40 yrs.) → 8.25% (2023-24) → 8.25% (2024-25)

⇒ Partial withdrawal allowed upto "X%" allowed for education, marriage, illness and house construction etc. (अवधि से पहेले आंशिक रूप से पैसा निकालने की भी छूट होती है।)

18.12.2 EPFO → Employees Deposit Linked Insurance Scheme (EDLI-1976)

⇒ Boss pays Premium. If worker dies → family gets insurance.

⇒ 2020-Reform: if worker died of Corona family member will be given insurance (min 2.5 lakh to max 7 lakh). कोरोना मृतक श्रमिक के परिजनो को बीमा राशि

18.12.3 EPFO → Employee Pension Scheme (EPS-1995)

⇒ Monthly pension on retirement (once they attain the age of 58 years old) / permanent disability (वय-निवृति/स्थायी विकलांगता में पेंशन मिलेगा).

$$\text{EPS pension amount} = \frac{\text{(Avg salary of last 5 years X number of years in service)}}{70}$$

⇒ **Note1:** Different websites give different formulas. Formula is not imp, but sufficient to know that it is not linked with SHAREMARKET performance (unlike NPS scheme.)

⇒ **Note2:** If the worker dies before retirement (=while in job) → the minimum guaranteed pension to the spouse = ₹ 1,000 per month.

18.12.4 EPFO: more facts

- EPFO Act doesn't apply to cooperative society with less than 50 workers, if such cooperative society not using power (electricity, coal etc). [Why? Ans. NOTIMP.]
- EPFO subscriber worker has UAN (Universal Account Number) that remains unchanged even if he changes job from one organization to another. (मजदूर का खाता नंबर- नौकरी बदलने पर भी वही रहता है)
- Previously, employee himself couldn't generate his UAN, he had to request his boss to send forms to EPFO. But 2019: EPFO allowed employees to generate UAN online by simply giving Aadhar & Mobile Number. (एक जमाने में मजदूर ने मालिक द्वारा फॉर्म भिजवाना होता, लेकिन अब मजदूर खुद अपना खाता खोल सकता है)
- Factory owner/Employer has LIN (Labour Identification Number)- which he uses while uploading EPFO documents on Shramsuvidha webportal of Labour Ministry.
- EPFO & ESIC transactions can be done through:
    - Through public and pvt sector banks (बैंक खाते द्वारा पैसा भेज सकते हैं)
    - through Ministry of Electronics and Information Technology (MeitY)'s UMANG App (Unified Mobile Application for New-age Governance).
- Casual employee = employed only for a few days/weeks/months.)
- EPFO doesn't differentiate between casual (temporary), contractual and regular(permanent) employees. (यानी सबको सब लाभ मिलता है, यह क़ानून क़ायमी और अस्थायी मजदूरो में भेद नहीं करता है।)

🔠❓ **MCQ.** Find correct about casual workers employed in India (Prelims-2021)

1. All casual workers are entitled for Employees Provident Fund coverage.
2. All casual workers are entitled for regular working hours and overtime payment.
3. The government can by a notification specify that an establishment or industry shall pay wages only through its bank account.

Codes: a) 1 and 2 only b) 2 and 3 only c) 1 and 3 only d) 1, 2 and 3

Note: *as per EPFO circular, st1 is right still UPSC official answerkey gone with the interpretation that st1 is wrong and by elimination of options containing this statement, the official correct answer [B].*

18.12.5 👨🔧👵🏻EPF Commutation (2020)

⇒ EPFO: Employees' Pension Scheme (EPS: कर्मचारियों की पेंशन योजना) = worker gets pension after retirement age (58 years).

⇒ **EPF Pension commutation**= Worker can partially withdraw his pension in advance before reaching retirement age. But, then EPFO will pay him less pension afterwards when he actually reaches retirement age. (पेंशन रूपांतरण: वयनिवृत्ति उम्र/परिपक्वता समय से पहले पैसा उठाना। हालाँकि ऐसा करने पर बाद के वर्षों में पेंशन कम मिलेगा)

18.12.6 ✅ EPFO raises auto settlement of claims limit from ₹1L to ₹5L (2025)

- Normally, EPFO pension starts after retirement age. (58 years)
- But, even before retirement age, the subscriber can withdraw some money in advance claims for illness, education, marriage, and housing purposes.

Before	From 2025 Reform
Automatic online approval upto ₹1 lakh (= means subscriber need	limit increased to ₹ 5 lakh

Before	From 2025 Reform
not plead/beg to EPFO officials for approval/signatures) this was started in **2020-Corona**.	

18.12.7 → EPFO-CITES CPPS: Centralized Pension Payments System

CITES = IT modernization project, Centralized IT Enabled System.

Before दफ्तरों के धक्के खाओ।	after
when the worker retired, he had to visit the bank branch for physical-verification, to start receiving the pension.	Problem solved. All banks connected online with EPFO.
Each Zonal EPFO Office partnered with 3–4 banks, causing payment issues for pensioners without accounts in those 3–4 banks.	same as above
After changing residence, Pensioners must visit zonal EPFO offices to update Pension Payment Orders (PPO) with new bank branch code.	same as above
EPFO's pension release system was decentralized at zonal-level	centralized online.

18.12.8 EPFO : Higher pension rule for those earning over ₹15,000 = NOT IMP for Exam

Deleted from handout.

18.12.9 EPF (Provident Fund) withdrawal categories 13 se 3 (2025)

Before	After 2025 Reform
13 withdrawal categories	reduced to 3, i.e. (i) essential needs (illness, education, marriage); (ii) housing needs; (iii) special circumstances, e.g. disaster, pandemic, unemployment.

This will make it much easier for workers to fill up the form

18.12.10 EPFO 75% withdrawal if job loss- controversy (2025)

- If a worker becomes unemployed, can he withdraw money from his EPF (provident fund) account?
- Ans. 75% immediately. Remaining 100% after 12 months of continued unemployment.
- Problem? Many workers, lacking financial discipline, they prematurely withdraw the money as soon as they lose their job.
- So 50% of workers have less than ₹20,000 in their EPF account at retirement age. So, EPFO wanted to tighten withdrawalrules. But EPFO was unable to explain it properly, resulting in media/public outrage.
- Then double-dholki type situation ke reform done then undone. I am not getting into ball-by-ball commentary. I gave you the gist of it.

18.12.11 EPFO 3.0 reform – CBS adoption (2026)

- Note: This is a proposal state, so I am only summarising the media articles.
- EPFO Aims to cover 60 cr+ workers, 3/4th in the unorganised sector
- For a bank customer, it is much easier to get problems solved without visiting a branch office, thanks to the bank's core banking solution (CBS)/ centralized server platform. (Ref: Pillar#1A2)
- But in the case of EPFO, pensioners need to visit the regional / zonal office.

- So, EPFO wants to have a **CBS-like centralized system** for real-time interest credit & balance visibility, direct withdrawal of money from ATM machines, faster resolution of complaints, etc.
- EPFO 3.0 aims to have such a platform/app. It will also have a UPI-linked facility to directly withdraw money from the mobile app. It will be available in many regional languages with the help of Bhashini translation AI developed by the **Ministry of Electronics and Information Technology (MEITY)**.

18.12.12 🐯 EPFO pe RBI oversight increased to improve investment returns (2025)

Problem	Reform taken
EPFO invests barely 15% of funds in the share market. 85% goes to G-sec/Bonds = Poor return on investment.	EPFO's Board has now approved the formation of a committee with officials from the RBI, Finance Ministry, and Labour and Employment Ministry, to fix this.

18.13 🔪 EPFO 2026 News Updates

18.13.1 🔪 EPFO Credits Interest for 35 Cr Accounts on Time, First Time (2026)

- EPFO (Employees' Provident Fund Organisation) credits interest to ~35 cr accounts by July 15 — a first in history.
- Enabled by merging 123 regional databases into one centralised national database

18.13.2 🔪 EPFO Launches 'Vishwas 2026' Dispute Resolution Scheme

- EPFO penalizes Employers if they do not submit the contribution of the workers on time and other mismanagement.
- Vishwas 2026 - is a One-time settlement scheme for employer for past cases.

18.13.3 🔪 EPFO TRS Option (proposed)

- TRS (Target Retirement Sum) is a proposed pension scheme.
- Pensioner will have two option - get paid every month or withdraw systamatically.
- e.g. 1 cr corpus @8% interest= 8 lakh divide by 12 = 66k per month.
- or if u want more pension e.g. 1 lakh/pm, then it will be withdrawn from principal (1cr) also.

18.13.4 🔪 Singapore's Central Provident Fund (CPF)

- Differential interest on provident fund: e.g. if member aged 55 or higher = 6% interest (ii) If lower age = 5% interest
- Apart from the employer, the government, NGO, well-wishers, customers of delivery boys etc can also contribute in the pension corpus.
- Pension plan is such that housing and healthcare needs to also taken care of.
- EPFO thinking of copying this model.

18.14 👦👨🔧👵🏻 Govt Schemes for EPFO Contribution

18.14.1 👦👨🔧👵🏻 (2016) Pradhan Mantri Rojgar Protsahan Yojana (Labour Min)

- Too outdated for 2023 so deleting it.
- Under the scheme government contributed some money to EPFO, on behalf of the factory owner, when factory owner recruited new persons. (फ़ैक्ट्री मालिक जब नए आदमी को नौकरी पे रखेगा तो कुछ

वर्षों के लिए सरकार उसका EPF का पैसा भरेगी, ऐसी पुरानी ने योजना के)

18.14.2 Atmanirbhar Bharat Rozgar Yojana= Subsidy from Central Govt in EPFO contribution

It was launched during the Atmanirbhar Bharat 3.0 package (November 2020)

Beneficiary eligibility: Worker's Monthly wages LESS THAN ₹15,000 AND

1) Fresh EPFO-Worker got new job in an EPFO registered firm OR
2) Past EPFO-Worker had lost job between March1 to Sept30 of 2020, BUT got a job on/after October1, 2020 in an EPFO registered firm

Entitlement: यह योजना में फायदा क्या मिलेगा

EPF scheme	worker (मजदूर)	Boss (मालिक)
if the firm has up to 1000 employees	12% of wages → Govt to contribute to EPFO	12% → Govt to contribute to EPFO (सरकार देगी)
if the firm has >1000 employees	12% of wages → Govt to contribute to EPFO	12%: Boss has to contribute from his pocket. Govt will not contribute.

Benefit? Formal Job creation, more money in the hands of workers → demand → Post corona economy Revival. (औपचारिक रोजगार सृजन, मजदूर के हाथ में ज्यादा पैसा आएगा जिससे बाजार में मांग में बढ़ोतरी)

Scheme validity? (यह योजना कितने दिनों तक वैद्य/जारी रहेगी)

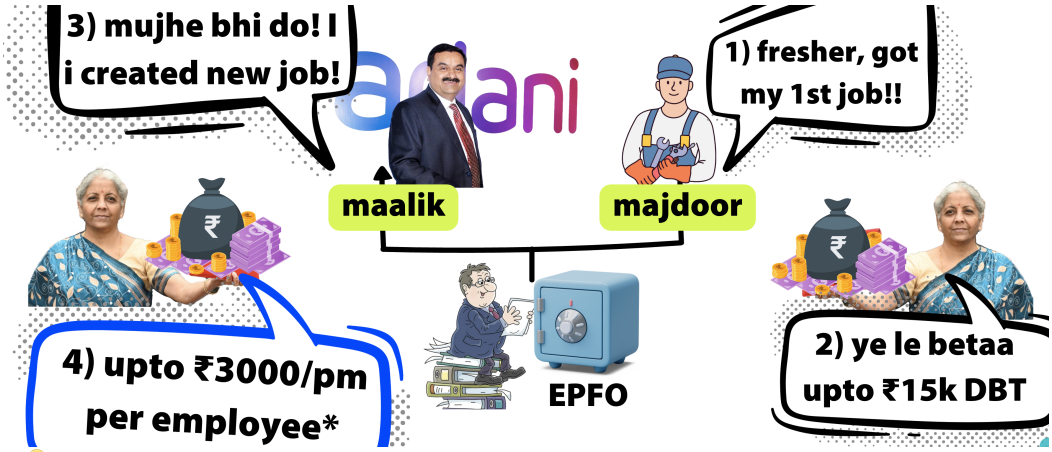
⇒ Scheme registration open till June 2021.

⇒ Registered worker will continue to receive benefit for two years. e.g. if registered in January 2021 → then ₹₹ upto January 2023.

Note: for faster revision I have used the term worker and boss (मजदूर और मालिक) But, in real mains exam, you should write employee and employer/Entrepreneur (कर्मचारी और नोकरीदाता / उद्यमी)

18.15 ELI Scheme - Employment Link Incentive Scheme (ELI)

- Budget-2024 announced. 2025-Jul approved.
- Objective: Create 3.5 Crore+ in 2 yrs (Aug-25 to Jul-27)
- **Boss**? Ministry of Labour & Employment.



18.15.1 ELI-Part A: FRESHER worker ko to get ₹15k= PM Viksit Bharat Rozgar Yojana

- First-time workers registered with EPFO will get up to Rs 15,000 in two installments, if their salary is not more than ₹1 lakh.
- Requires him/her to complete a financial literacy training programme.

- A part of the ₹15k will be locked in FD (fixed deposit) to ensure financial discipline of the beneficiary.
- 2025- During PM renamed this scheme as **Pradhan Mantri Viksit Bharat Rozgar Yojana**

18.15.2 👷👛 ELI-Part B: Support to Boss/Maalik/Owner

- If ADANI gives jobs to at least 2–5 people for at least six months,
- then the government will pay monthly ₹1k-3k to ADANI for each such employee, depending on how much salary ADANI is paying to the worker.
- Note: there are many terms conditions in it, if preparing for EPFO read more at www.pib.gov.in/PressReleasePage.aspx?PRID=2141127

18.15.2.1 👷👛 ELI-Scheme C: Support to employers (target 50 lakh jobs)

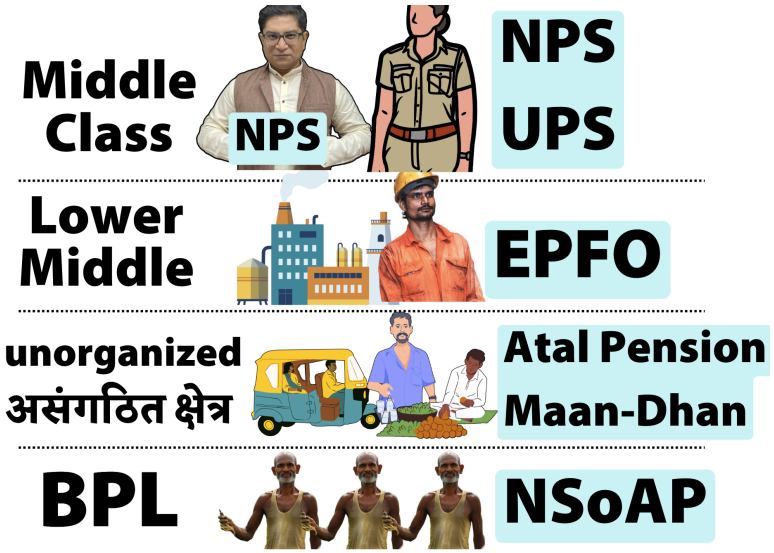
- if owner creates a job paying upto ₹1 lakh per month.
- Then on behalf of owner, the government will contribute upto ₹3000 in such worker's EPFO per month. Scheme valid for first two years of such new-job. **NOTE: this part-C was announced in 2024-Budget, but when Govt notified the scheme in 2025, they've not mentioned it.**

18.15.3 🚩👶 FAQ: "why not merge EPFO with ESIC!!? "

Their laws are different. To merge them you've to merge two laws. Send ur suggestion to PM.

18.15.4 Coal Miner's pension: CMPFO → C-CARES portal

- Coal miners have a separate EPFO-like act -called Coal Mines Provident Fund & Misc Provisions Act, 1948.
- Boss? Coal Mines Provident Fund Organisation (CMPFO) a statutory body under the Ministry of Coal. (कोयले की खदान में काम करने वाले मज़दूरों के लिए EPFO जैसा अलग क़ानून/ प्रणाली है।)
- CMPFO launched a portal, C-CARES, to help those miners/pensioners.



18.16 👨→👴 Pension for Govt Employees? = OPS, NPS, UPS?

NPS-for Govt Employees	NPS- for Middle Class (from 2009)
- 2004: New Pension Scheme (नवीन पेंशन योजना) →(2009) renamed into **National Pension System.** (राष्ट्रीय पेंशन प्रणाली) - **Subscriber?** Those who joined govt. service on or after 01/01/2004 (except Armed forces) - **Mechanism?** Employees (10 % of basic pay) + Govt. contribution (14% of basic pay: since Interim-Budget-2019) → goes to PFRDA →NPS Trust → empaneled NPS-Fund-manager → Invested G-sec, Corporate Bonds and Shares depending on your preference in Tier1/Tier2 accounts.	- In 2009, the Government employee-walla **National Pension System** was made open for all citizens (and NRIs) aged 18-55 on voluntary basis. - so, even citizens who're not in govt job, they can also join NPS, contribute money till age of 60, as per their capacity → pension.

- NPS subscribers have PRAN: Permanent Retirement Account Number, Just like EPFO subscriber has UAN Number.

18.16.1 💁‍♀️FAQ: Which PM started NPS? Ans. Vajpayee.

- Dec/2003- New Pension scheme started
- Jan/2004- NPS renamed into National Pension System.
- Vajpayee PM from March 1998 – May 2004; Manmohan PM from May'04 – May'14

18.16.2 👨→👴 Pension: NPS: T V Somanathan committee & UPS (2023)

Finance Ministry had setup T V Somanathan to review the NPS pension scheme for government employees and suggest any changes, if needed. → UPS system proposed. see next section. 👇

18.17 👨‍💼 UPS-Unified Pension Scheme for Govt Employees. (एकीकृत पेंशन योजना)

- Notified in 2024-Aug. Actually, Starts from 1/4/2025.
- Central Govt employee is given choice - he can remain in NPS or shift to UPS.

Contribution (योगदान)	NPS	UPS
👨 Employer (govt)	14%	18.5%
👨‍💼 Worker/Employee	10% of salary	10%

Note: there are many components in the salary like basic salary, TA, DA, HRA etc. we will not go into PHD. We will only remember general words ke 10% of salary.

18.17.1 👨‍💼 UPS-Entitlement for govt employees? (कितने पेंशन की गारंटी है?)

pension	min 10 yrs of service	25 yrs of service
assured pension	₹10,000 per month	50% of avg monthly salary of the last 12 months before retirement

- When pensioner dies → 60% "Family pension" to spouse/husband/wife.
- Pension will increase with inflation via Consumer Price Index for Industrial Workers (CPI-IW) (महँगाई के हिसाब से बढ़ेगा). (Ref: Pillar#4E for more on CPI)
- upon retirement, apart from monthly pensions, the employee will get one time **lump sum payment** also. (एकबार भत्था मिलेगा।) How much? Not imp.

18.17.2 👨‍💼 Old Pension Scheme (OPS) in Non-BJP States

⇒ Union Govt believes 1) we don't have enough money to sustain OPS. 2) better to use tax payers' money for the welfare of poor people.

⇒ However some non-BJP states such as Rajasthan reverting to OPS.

⇒ Experts argue that OPS is unsustainable because State govts don't have enough money to run it forever. More elaboration / bolbachchan = shifted to Mains. #Raftaar-for-Prelims.

18.17.3 👨‍💼 NPS like schemes in Tamilnadu (TAPS) & Andhra Guaranteed Pension Scheme (GPS)

- TAPS By Tamilnadu and GPS by Andhra are State govt schemes for its state govt employees.
- They provide guaranteed/assured pension after retirement- similar to Central government's UPS for central government employees.
- But since the Hindu newspaper is printed from Chennai. They have done excessive Phd coverage on this. थोड़ा-पढ़ो-आगे-बढ़ो.

18.17.4 🌑 NPS : penny drop verification mandatory (2023)

- "Penny drop test" means a pension company transferring a small amount of money, e.g., ₹1, to the subscriber's bank account as a test before crediting the entire amount.
- If there is an error, the remaining money will not be sent until the details are corrected (e.g., bank account number/branch IFSC code).
- In 2023, PFRDA made "penny drop verification" compulsory for NPS.

18.17.5 🛵🍕 NPS e-Shramik Model by PFRDA to enrol gig workers (2025)

PFRDA launched it to enroll gig worker / platform workers into NPS.

18.18 👨→👴 NPS FOR PEOPLE NOT IN GOVT JOB

18.18.1 👨→👴 NPS-Lite (Swavlamban) (2010)

If poor person from unorganized sector joined NPS, then govt to contribute ₹1000 per year for 5 YR

in their account. (असंगठित क्षेत्र के ग़रीब के खाते में सरकार द्वारा पाँच साल के किए १-१ हज़ार रुपये वार्षिक का योगदान)

18.18.2 👶 NPS-Vatsalya for minors (kids) in 👛Budget-2024

- pension account can be opened for minors (below age 18)
- parents/guardians can contribute money in it.
- Annually contribution limit: minimum Rs. 1,000. Maximum: unlimited.
- When the minor reaches the age of 18, their NPS Vatsalya will be converted into a normal/standard NPS account.

18.18.3 👦→👴 NPS: Minimum Assured Return Scheme (MARS) for non-govt employees

⇒ PFRDA yet to release the guidelines so for the sake of simple example ….

⇒ suppose PFRDA gave MARS of 8% on an NPS account (of a non-govt employee)

⇒ Then if NPS unable to give u 8% return then whatever loss- will be paid by PFRDA/other org to subscriber. 😍 Benefit? It'll attract more people to join NPS. (ये तो एक काल्पनिक उदाहरण दिया है)

18.18.4 👶👴 NPS =>Pvt Citizen=> multiple scheme framework (MSF-2025)

Before	After MSF-2025
1 private citizen can open only 1 account.	It is possible to open multiple accounts with the same PAN card number. e.g. Account-I: 60%shares+40%bonds; Account-II: 100% shares only.
Not possible.	Allow up to 100% of the subscriber's premium invested in shares/equities.
Money locked till the age of 60.	Minimum investment period is 15 years. Thus, giving greater flexibility to investors to exit.

Note: there are more terms and conditions to it, but I have tried to keep the note simple for competitive exam memorization.

18.18.5 👴📜 → 🤳 Jeevan Pramaan (2014)

- Previously, a pensioner (in any Govt / public sector org.) had to submit a physical life certificate in November each year to prove that he's alive = hardship, bribery to officials.
- "Jeevan Pramaan" – an "Aadhar-based Digital Life Certificate" by Ministry of Electronics & Information Technology (MEITY) (आधार कार्ड और अंगूठा लगा के ज़िंदा होने का प्रमाण पत्र ताकि पेंशन मिलता रहे)
- Pensioner's Aadhar number + biometric reading device⟶ PC, Mobile⟶ "Digital Life Certificate"⟶ submit to the authority ⟶ pension released.
- 2020: Jeevan Pramaan system also expanded to EPFO subscribers.

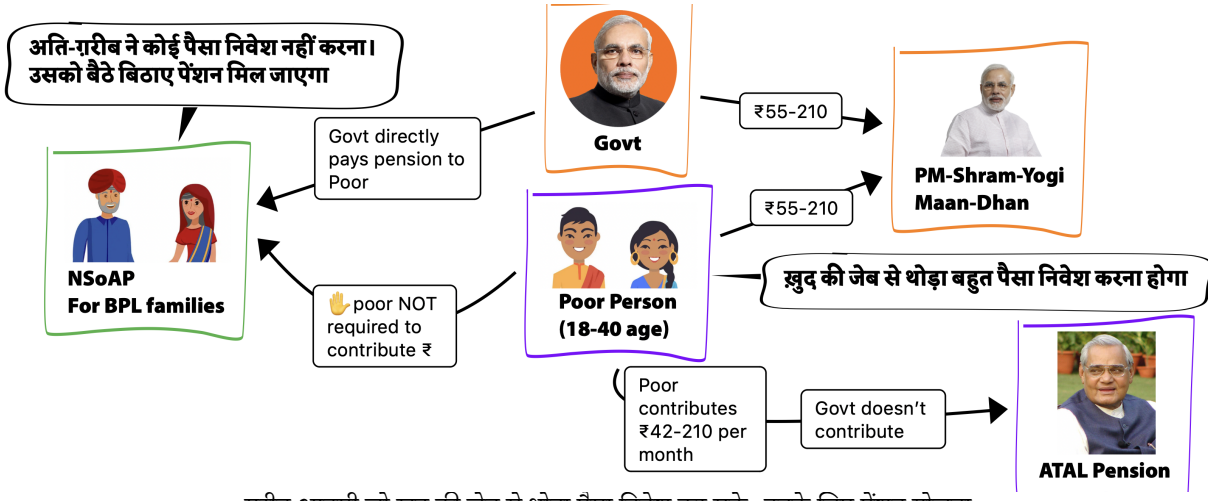
- 2022: EPFO also allows facial recognition system because in some very old pensioners, difficult to scan finger-print/iris.

18.19 👴→👴 Pension for Senior Citizens WITH CAPACITY to Invest?

18.19.1 Pradhan Mantri Vaya Vandana Yojana (2017-DFS, LIC) - discontinued ~2023

- It required senior-citizens/elderly to invest money in LIC and get fixed pension from it.
- 2023: It was the last year to join the scheme. Then registration wclosed.
- *Other similar schemes:* Senior Citizen Savings Scheme, LIC Varistha Pension Bima Yojana but they are old schemes so poor cost: benefit in preparing for UPSC.

18.20 👨🔧→👴Pension for Poor People WITH CAPACITY to INVEST?



ग़रीब आदमी जो ख़ुद की जेब से थोड़ा पैसा निवेश कर सके- उनके लिए पेंशन योजना

👴Atal Pension Yojana (APY)	👵Pradhan Mantri Shram-Yogi Maandhan
By Dept of Financial Services, 2015	By labor Ministry, 2019
Only 18-40 age Indian citizen residing in India but he should not be income tax payer.	Income Tax-payer, NPS,EPFO,ESIC-subscribers not eligible.
No minimum or maximum income limits. Mukesh Ambani can also join, but given that fact that maximum pension is ₹5,000 a month so target-audience is poor people, unorganized workers outside EPFO security.	unorganized sector workers with monthly income upto ₹15k. E.g. street vendors, rickshaw pullers, construction workers, rag pickers, agricultural workers, beedi workers etc. in the age of 18-40
Monthly pay ₹42-210 rupees till the age of 60	Monthly invest ₹55-200 (depending on age of joining). Govt to co-contribute equal amount. Till the age of 60
₹1k-5k monthly pension- depends on @which age joined, how much contributed?	minimum assured ₹3k pension per month after 60.
- If subscriber dies after 60, then spouse (Husband/wife) continues to receive same amt. pension. - Both Husband & Wife die → Nominee (e.g.	If subscriber dies after 60, spouse (husband/wife) gets ₹1500pm as family pension. IF Both Husband & Wife die → Nominee

👴Atal Pension Yojana (APY)	👴Pradhan Mantri Shram-Yogi Maandhan
their child) receives the entire principal (premium) back.	(e.g. their child) get nothing. निवेशक-पति/पत्नी के देहांत पर उसके पत्नी/पति को आधा ही पेंशन मिले। दोनो मर गये तो बच्चे को कुछ नहीं मिलेगा।
One person-1-subscription account only.	Same as left cell.

💡**Note:** 1) Atal Pension Yojana 2) PM Jivan Jyoti Yojana and 3) PM Suraksha Bima Yojana are collectively known as **Pradhan Mantri Jansuraksha Schemes.**

🔠❓ ***Find correct statement(s) regarding 'Atal Pension Yojana': (Pre'2016)***

1. *It is a minimum guaranteed pension scheme mainly targeted at unorganized sector workers.*
2. *Only one member of a family can join the scheme.*
3. *Same amount of pension is guaranteed for the spouse for life after subscriber's death.*

Codes: (a) 1 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

🔠***MCQ. Find correct about PM Shram Yogi Maan-dhan (PM-SYM) Yojana (Pre'24-Set-C-Q10)***

1. The entry age group for enrollment in the scheme is 21 to 40 years.
2. Age specific contribution shall be made by the beneficiary.
3. Each subscriber shall receive a min pension of 3,000 per month after attaining the age of 60.
4. Family pension is applicable to the spouse and unmarried daughters.
Codes: (a) 1,3 and 4 (b) 2 and 3 only (c) 2 only (d) 1,2 and 4

18.20.1 👨🌾→👴🤲💰: 👴 Pension: Three Maan Dhan Yojanas

18-40 Age; ₹ 55-200 fees; Pension @60=3000 → family pension ₹ 1500	LIC Fund manager + This Ministry co-contributes	Who?
1) Pradhan Mantri Shram-Yogi Maan-dhan (Feb'19)	Labour Ministry	unorganized sector workers with monthly income upto ₹15k
2) PM Laghu Vyapari Maan-dhan Yojana (Jul'19)# also known as 'NPS-Traders'	Labour Ministry	Small trader / shopkeepers whose annual turnover does not exceed Rs 1.5 crore, based on self-declaration.
3) Pradhan Mantri KISAN Maan-dhan Yojana (Aug'19)	Agri	small / marginal farmers with upto 2ht land.

- 1 person can join only 1 type of above scheme. (एक व्यक्ति का सिर्फ एक बार ही पंजीकरण होता)
- Income Taxpayers & those who joined EPFO/ESIC are not eligible for any of these schemes.
- 💼**Budget-2020:** we'll launch a Universal Pension coverage with auto enrollment for workers. It'll cover workers even when they change jobs. <update when actually done>

🚩👶FAQ: "why not merge all these schemes into one!?? Ans. Send suggestion to PM.

18.21 🤦‍♂️→👴 Pension for Poor People WITHOUT capacity to INVEST?

NSoAP Components	👴Union	State (Optional to give extra)
Indira Gandhi Old age pension @60	₹200-500* (depending on how old)	State Govt may give extra ₹₹ & rename it. e.g. Samajwadi Pension in UP
Indira Gandhi Widow pension Aged 40 onwards	₹300-500 (depending on how old)	State Govt may give extra ₹₹ and rename it e.g. UP Vidhva Pension @1k
Indira Gandhi Disability pension: Aged 18 onwards	Same as widow pension	State Govt may give extra ₹₹ and rename it e.g. Guj: Sant Surdas Scheme
National Family Benefit INSURANCE	Death of bread winner: ₹20,000	e.g. Guj: Sankat Mochan
Annapurna (2001)	If To BPL senior citizens not receiving old age pension then 10kg grain / pm for FREE.	N/A

- For Below Poverty Line (BPL) people, Rural Development Ministry's National Social Assistance Programme (NSoAP: राष्ट्रीय सामाजिक सहायता कार्यक्रम) in 1995, where direct money is given without asking for any premium from the beneficiary (लाभार्थी).
- It's a core of the core scheme (अति-महत्वपूर्ण योजना) with 100% cost is paid by Union.
- It's optional for state govt. to contribute money- They may contribute, if they want to enhance the scheme's features. (More in Pillar#2D- Schemes types)

⇒ 2020: →ATMANIRBHAR → PM GaribKalyan single time ₹1,000 to poor senior citizen, poor widows & poor disabled (total 3cr person covered)

18.21.1 Pension types: Defined Contribution vs Defined Benefit

Pension Type	Defined Contribution	Defined Benefit
Pension is fixed or not?	Pension depends on performance of sharemarket	Pension is fixed. Doesn't matter what happens in sharemarket.
Example	- NPS - Private pension companies' plans	- EPS (a scheme of EPFO), - OPS, UPS - Atal Pension (APY), Sharm Yogi Maan-dhan, NSoAP

18.22 📘ES25's observations on Pension Sector

18.22.1 👦👴 Pension sector challenges as per 📘ES25:

- Globally, the elderly population has surpassed children.
- Growing elderly population and increasing life expectancy → pension companies must pay for more years. (बुजुर्गों की बढ़ती आबादी और जीवन प्रत्याशा)

- Pensioners save less than active workers, leading to lower national savings in countries with a larger elderly population. (नौजवान श्रमिकों की कमी से राष्ट्रीय बचत में कमी होती है, क्योंकि बुड्ढा पेंशनर तो इतना पैसा बचा नहीं सकता।)
- Countries like Japan, France, and China raised retirement ages, causing worker resentment. (निवृति आयु बढ़ाने पर मज़दूरों में नाराज़गी।)
- Rising inflation increases need for higher pension amount. (महँगाई का बोज)

18.22.2 👦👴 Pension market not yet fully developed in India says 📘ES25:

Nation	OECD Nations^^	India
Pension assets as a % of GDP	80%	EPFO (17%) & NPS (4.5%)

- ^^ Organisation for Economic Co-operation and Development (OECD) = more in pill3c.
- Out of the total number of pensioners in India- 80% are Atal Pension Yojana (APY) subscribers. APY gives hardly ₹1–5000 pension.

18.22.3 👦👴 Micro pension scheme problems as per 📘ES25:

- Micro-pension schemes like Atal Pension and Shram Yogi Maan-Dhan provide small pensions to poor families.
- Poor people often prioritize immediate consumption over saving for pensions or insurance. (तुरंत उपभोग मैं पैसा ख़र्च कर देते है।)
- Consequently, 93% of Atal Pension subscribers joined the ₹1,000 plan because the ₹5,000 plan requires more contributions.
- Behavioral interventions like simplifying enrollment and providing timely reminders for renewal are needed to increase active subscribers in micro-pensions. (गरीबों के बर्ताव में सुधार ज़रूरी।)

18.22.4 👦👴 Britain's PAYGO schemes & demographic changes- 📘ES25:

- Pay-As-You-Go (PAYGO) schemes = the young salaried employees bear the price of pension for the older generation.
- Here, Worker's Money is not invested in shares/bonds- **unlike in EPFO/NPS.** Current Worker's money is immediately/directly paid to the pensioner. (वर्तमान श्रमिक का कुछ पैसा, सीधा बुड्ढे पेंशनर को दे देंगे। शेयर /बांड बाज़ार में निवेश नहीं करेंगे।)
- Britain and several OECD group nations follow this.
- **But, for such pension scheme to be sustainable:**
  - (i) outflows must be adequately linked to the inflows. (= more young workers need to keep joining to pay for the retiring workers)
  - (ii) Inflow must increase with rising inflation index. ("Indexation" is the process/formula for increasing the salary & pension as per the rising inflation.)
- Otherwise, Asset-liability mismatch leads to government borrowing to pay pensions, as seen in Greece and Italy. Britain faces this in the next 2 decades.

18.22.5 👶👴 Pension sector challenges- 📕ES26:

Old age population increasing

Population of India	2021 (%)	2036 (%)	Change
Old-age (60+)	10.1	14.9	Increases sharply
Working-age (15–59)	64.2	64.9	Marginal increase

Indian pension market underdeveloped

Region	India	Advanced economies
Pension asset as a % of GDP	17%	60–100%

18.23 PFRDA, THE PENSION FUNDS' REGULATOR

Org	2003: Executive order to setup PFRDA- Pension Fund Regulatory and Development Authority (पेंशन निधि विनियामक एवं विकास प्राधिकरण) 2013: given statutory status. HQ: New Delhi, just like IBBI.
Structure	1 Chairman: (5years / 65age) + 5 members (5/62 age) = 6 people. Re-appointment is possible.
Functions	⇒ Implement National pension system (NPS), select its fund-managers. ⇒ Regulate all public and private pension funds except EPFO, Seaman, Coal miners, Assam tea plantations pension schemes as they've their separate laws. ⇒ Protect Clients, Pensioners ⇒ Prescribe liquidity, auditing, investment norms for Pension funds. ⇒ Powers of civil court. (दीवानी अदालत की सत्ता/अधिकार दिए गये है) ⇒ financial awareness generation through pensionsanchay**.org.in** ⇒ Pension FDI is linked with insurance FDI (49%) so not decided by PFRDA.
Website	pensionsanchay.org.in = for awreness generation around pension and retirement.

18.24 SOCIAL SECURITY FOR OVERSEAS INDIANS (PENSION / INSURANCE)

18.24.1 Pravasi Bharatiya Bima Yojana, 2017

Some nations do not have strict laws regulating the entry, employment or safety of foreign workers. So, the Indian Government classifies them under **Emigration Check Required** (ECR: उत्प्रवास जांच की आवश्यकता) countries. e.g. Saudi, Qatar, UAE, Libya, Malaysia, etc.

- ✓ It's compulsory for Indian workers going ECR nations to join Pravasi Bharatiya Bima Yojana. (ईसीआर देशों में जाने वाली प्रवासी भारतीय मज़दूरों के लिए ये ख़रीदना अनिवार्य है)
- ✓ Insurance cover of Rs. 10 lakhs if accidental death/permanent disability while abroad,
- ✓ Maternity expenses (प्रसूति खर्च) cover for women worker, Family Hospitalization etc.
- ✓ Scheme **boss**? Ministry of External Affairs (विदेश मंत्रालय)

18.24.2 👨👴🤝 Pension: Totalisation pact- India-USA negotiation

- If an NRI Indian person works in the USA, the US government deducts pension/social security contributions from their salary.
- However, upon returning to India, they face difficulties receiving the pension from the USA. (जिस NRI ने अमरीका में पेंशन योजना का पैसा कटवाया है, उसे भारत घर वापसी के बाद वो पेंशन लेने में दिक़्क़त आती है)
- The totalization pact can solve this issue, but negotiations are ongoing.
- This one liner information is enough. Further PhD https://youtu.be/UwIUf7p-X00?t=1056

19 (👨🌾👨)→💳 1D3: Financial Inclusion (वित्तीय समोवेशन)

Financial Inclusion	Social Security	Social Justice
• Bank Savings, Loans, • Investment • Pension Insurance	• Unemployment Allowance • Disability allowance • Maternity Benefits • Pension, Insurance,	• Reservation to weaker section • SC/ST Atrocity Prevention • Personal Laws: Marriage, Divorce, Adoption, Inheritance ➡ Uniform Civil Code (UCC)

⇒ **Financial Inclusion:** providing access to banking, investment, pension, insurance and credit (loan) facilities to each citizen. This ensures social, economic and transaction security (**लेनदेन में सुरक्षा**) (S-E-T), improves social harmony, women empowerment, helps reaping the benefit of "LESS CASH Economy" (Ref: Handout#1A1) सभी नागरिकों को बैंकिंग, निवेश, पेंशन, बीमा और ऋण की सेवा प्रदान करना= उसे वित्तीय समोवेशन कहेते है

⇒ **Social Security (सामाजिक सुरक्षा):** a system of payments / assistance by the government to citizens who are ill, handicapped, poor, aged or unemployed. (बीमार, विकलांग, गरीब, वृद्ध या बेरोजगार को आर्थिक मदद करना)

- The foundation of SS in our constitution @DPSP Article 41- State to provide public assistance to its citizens in case of unemployment, old age, sickness and disablement; and
- DPSP Article 42- The State shall make provision for securing just and humane conditions of work and for maternity relief. (राजनीतिक पथदर्शक सिद्धांतों में जिक्र)

⇒ **Social Justice (सामाजिक न्याय):** distribution of wealth, opportunities, and privileges within a society- through reservation in jobs, admissions and election and through legal safeguards for protection of civil rights, prevention of atrocity and personnel laws. (समाज के विभिन्न जाती/वर्गों में आरक्षण चुनाव तथा कानूनन अधिकारों द्वारा संपत्ति, अवसरों और विशेषाधिकारों का वितरण= उसे समाजिक न्याय कहेते है)

⇒ Collectively, these three (FI,SS,SJ) help in human development, inclusive economic growth and Sustainable Development Goals (SDG). (More in Pillar#6) [कुल मिलाकर वित्तीय समावेशन, सामाजिक सुरक्षा और सामाजिक न्याय इन तीनों की मदद से मानव-विकास,समावेशी आर्थिक वृद्धि, और सतत् विकास लक्ष्यों को हांसिल करने मे हमें मदद होगी]

19.11 (👨🌾👨🔧:💰)→💳 Fin. Inclusion: Bank accounts for Everyone

⇒ Nationalization of Banks (1955, '69, '80) → 1961: DICGC Act→ 1966 Cooperative Banks under RBI's Ambit → 1969 Lead Bank Scheme (SCB:Pvt or Public) given lead role in district. They prepared credit plan with 'Service Area Approach', and coordinate with the efforts of Government, banks and NBFCs.

⇒ 1971: State level Bankers' Committee to moniter progress of financial inclusion
⇒ 1976: Regional Rural Bank (RRB) setup through Act. (क्षेत्रीय ग्रामीण बैंकों की स्थापना)
⇒ Further, RBI requires commercial banks to setup atleast 25% of their branches in unbanked rural areas. Similar norms for White label ATM Companies. (एक चौथाई शाखाएं गाँव में खोली होगी)
⇒ 2005: RBI permitted no-frills savings account with no penalties on zero balance
⇒ 2006: RBI permitted Banking Business Correspondent Agents *(BCA)*
⇒ 2011: Government's Swabhiman to increase banking presence in rural area.
⇒ 2013: e-KYC permitted.e.g. write Aadhar number, put fingerprint in biometric reading device, no photocopies/xerox required. (काग़ज़ी नक़ल जमा करने की ज़रूरत नहीं, ऑनलाइन प्रमाणीकरण)
⇒ 2014: JanDhan Yojana, new Private Commercial Banks (Bandhan, IDFC First)
⇒ 2015: Small Finance Banks and Payment Banks.(लघु वित् बैंक और भुगतान बैंक की स्थापना)
⇒ 2017-18: India Post Payment Bank(More in Pillar#1B1)

MCQ. Service Area Approach was implemented under the purview of (UPSC Prelims-2019)

(a) Integrated Rural Development Programme (b) ✅ Lead Bank Scheme
(c) Mahatma Gandhi National Rural Employment Guarantee Scheme
(d) National Skill Development Mission

19.11.1 (:)→ Pradhan Mantri Jan Dhan Yojana (PMJDY: प्रधान मंत्री जन धन योजना)

⇒ 2014: launched by FinMin → Dept of Financial Services with
⇒ **Motto** "*Meraa Khaataa, Bhagya Vidhaataa*". Scheme in two phases, 6 objectives:

PM JDY – phase I (2014-15) प्रथम चरण में	PM JDY – phase II (2015-18) द्वितीय चरण
1. Financial literacy (वित्तीय साक्षरता) 2. Banking within 5 kms 3. Account for every family with overdraft, with Rupay ATM-cum-DEBIT Card	1. Credit Guarantee Fund (For Overdraft defaults) उधर से बैंक के नुक़सान की भरपाई 2. Direct Benefit Transfer (DBT) 3. Sell Micro insurance & pension products through bank.

⇒ PM-JDY bank account can be opened in any Commercial or Cooperative Bank provided that (1) bank has CBS (2) bank is tied with Rupay Payment Gateway. (अब किसी वाणिज्यिक या सहकारी बैंक में खाता खोल सकते हैं.)
⇒ Basic Savings Bank Deposit Account - Age 10/>; Zero balance- no penalty. But, Chequebook only with "balance"; (नाबालिगों के भी खाते खोले जा सकते हैं। बिना एक रुपया बचत जमा किए भी खाता खोल सकते हैं।)
⇒ There are restrictions on max. number of money withdrawals per month. (पैसे निकालने पर कुछ सीमाएं)
⇒ Overdraft upto ₹ 10k (originally ₹5k) depending on balance history of min. 6 months. Overdraft given on only one account holder in household (preferably woman).
⇒ Overdraft Money has to be returned with interest within 3 years. Banks to decide the loan interest rate. (ओवरड्राफ़्ट में दिया पैसा ब्याज के साथ वापस करना होगा। ओवरड्राफ्ट कोई दान-ख़ैरात नहि है।)
⇒ EVERY Jan Dhan account comes with FREE Accident Insurance of ₹1 lakh **(later increased to ₹2 lakhs)**; Premium paid by NPCi, it's therefore necessary to regularly use card- at-least for

checking balance. Union Government employees, and income tax payers not eligible for this free insurance. (दुर्घटना/अकस्मात् सुरक्षा बीमा भी मुफ़्त में मिलता है)

⇒ 🤩 **Significance?** JAM trinity (JanDhan, Adhar, Mobile) for targeted and direct transfer of subsidies, scholarship and payments to beneficiaries. (लाभार्थी के खाते में सीधा /प्रत्यक्ष लाभ हस्तांतरण)

⇒ 😨 **Criticism?** PM-JDY accounts used as money mules during demonetization.

⇒ **2020:** ☠️**ATMANIRBHAR**→ PM GaribKalyan → ₹500 per month to 20 crore women Jan Dhan accounts for 3 months. (कोरोना में महिलाओं के जन धन बैंक खातों में 3 महीनों के लिए थोड़ी-थोड़ी रकम जमा की)

⇒ **2023:** Total money deposited in PM-JDY crosses ₹2 trillion.

19.11.2 🚽 Jan Dhan Darshak App (2018)

Jointly developed by Department of Financial Services (DFS) & National Informatics Centre (NIC). It helps people find the nearby financial touch points such as Bank branches, ATMs, Post Offices etc.

🔠❓ **PM Jan-Dhan Yojana' has been launched for: (Pre'2015)** (a) providing housing loan to poor people at cheaper interest rates (b) promoting women's Self-Help Groups in backward areas (c) promoting financial inclusion (d) providing financial help to the marginalized communities

19.12 (👨🌾👨🔧:💰)→ 📮 FIN INCLUSION: INVESTMENTS OTHER THAN BANK

What if poor / lower middle-class person wants better returns than bank deposit? He may opt for…

Act	**Small Savings Schemes:** लघु बचत योजनाएं
Govt Savings Bank Act 1873 →	📮 Post Office saving schemes
Govt Savings Bank Act 1873 →	Senior Citizen Savings (2004)
Government Savings Certi Act '59 →	National Savings Scheme (NSC)'59
Government Savings Certi Act '59 →	Kisan Vikas Patra 1988-11, 2014
PPF Act 1968 →	Public Provident Fund (PPF)
No Act →	Sukanya Samriddhi Yojana '2015

- Individual eligibility, upper-lower limits etc. poor cost: benefit…except Sukanya Samriddhi.
- Money (usually) goes into National Small Savings Fund (NSSF)→ loans to Union and (selected States), with technical norms which not imp for us.
- Here, interest rates are decided by FinMin's Dept of Economic Affairs on quarterly basis. (वित्त मंत्रालय का आर्थिक मामलों का विभाग इन योजनाओं की ब्याज दर तय करता है हर 3-3 महीने पर)

19.12.1 👛👩Small Savings: Mahila Samman Bachat Patra (2023)

It is a new small savings certificate scheme announced in the 👛Budget-2023.

Tenure	**Two-year period up to 2025-Mar**
Max. Deposit	upto ₹2 lakh per girl/woman
Interest	7.5%

19.12.2 👛👴Small Savings: Senior Citizen Savings Scheme limits hiked

Matter	**Before**	**After 👛Budget-2023**
How much money can be deposited in an account?	Upto ₹15 lakhs	Upto ₹30 lakhs

19.12.3 (👧:💰)→(👩:💳)Sukanya Samriddhi Yojana (2015)

- Parents open a (fixed deposit type) bank account in the name of a 0-10 years girl child, and deposit annually ₹ 250 to ₹ 1.5 lakhs till she reaches age of 14.
- FinMin's Dept of Economic Affairs announces interest rate (originally 9.1%, presently ~8.5%)
- Money (principal and interest) can be withdrawn @ the age of 18-21 depending on whether married or not. So, it indirectly prevents child marriages & empowers the grown-up daughter with money to pursue higher education, small business etc.
- 1 daughter = ONLY 1 account can be opened in this scheme. (एक बेटी के नाम पर सिर्फ एक)
- Maximum two daughters can be enrolled by parents/legal guardians.

19.12.4 🐯 PoSB pe RBI oversight increased (2025)

Problem	Reform taken
₹96 crore scam in the Post Office Savings Bank (PoSB). But since POSB is governed by separate laws, since the British times, RBI does not have full authority over it.	An agreement was signed between the Dept of Post and RBI to increase RBI's oversight.

19.12.5 ⭐📪👧👧👧👧👴👴👴 Five Star Village scheme by Dept of Post (2020)

गाँव वालों को विविध लघु बचत योजना और बीमा योजनाओं से जोड़ने की डाक विभाग की कोशिश

⇒ by Ministry of Communications Department of Post (संचार मंत्रालय ⟶ डाक विभाग)

⇒ Post offices will spread more awareness, enrol more villagers in the following schemes:

⇒ Small saving schemes such as Post office Savings Bank accounts, National small savings certificate Kisan Vikas Patra, Sukanya Samridhi Accounts, public provident fund (PPF)

⇒ Insurance schemes such as Rural Postal Life Insurance Policy, Pradhan Mantri Suraksha Bima Yojana Account, Pradhan Mantri Jeevan Jyoti Bima Yojana Account.

19.12.6 🪶💀📪👧👧👧👧👴👴👴 Sampoorna Bima Gram Yojana (2017)

⇒ by Ministry of Communications Department of Post (संचार मंत्रालय ⟶ डाक विभाग)

⇒ In every district, atleast 1 village identified ⟶ In that village, cover all households with a minimum of one RPLI (Rural Postal Life Insurance) policy. (गांव के हर परिवार को कम से कम एक ग्रामीण डाक बीमा पॉलिसी बेची जाए)

19.12.7 🪶💀🌽👧👧👧👧👴👴👴 Model Insurance Villages (MIV) proposal by IRDAI (2021)

- Insurance Regulatory and Development Authority of India (IRDAI) proposed this
- To give complete insurance coverage to a village for its people's life insurance, health insurance, farm/crop insurance, animal (livestock) insurance, tractor/vehicle insurance etc.
- Funding/Subsidy by Union, State, Companies CSR Funds, NABARD & other AIFIs.

19.12.8 (👨🌾👨🔧:💰)→ 📦 Chit Funds

⇒ Scam and its subsequent judgements = too oudated. So deleting it for #Prelims-RAFTAAR-🚓

⇒ Sufficient to know: Chit fund is a collective investment scheme.

⇒ Members contribute small, small amount of money, every month. And members are given loan from this fund. (सदस्य उसमें छोटी छोटी रकम जमा करते हैं और फिर सदस्यों को उसी में से लोन दिया जाता है)

⇒ Chit fund is a type of "contract" = subject to Concurrent list. So, both Union and State govt have laws for it. (समवर्ती सूची में होने के कारण केंद्र और राज्य दोनों इस पर कानून बनाते हैं लेकिन ढंग से निगरानी कोई कर नहीं पाता)

⇒ Scams happened due to lack of proper supervision / nexus with politicians. (इसलिए कांड होते रहते हैं)

19.12.9 ⚖️📦😩 Banning of Unregulated Deposit Schemes Act, 2019

- अनियमित जमा योजनाओं पर प्रतिबंध कानून
- If an entity is soliciting public to deposit /invest money, then it could be regulated by RBI (Bank, NBFC-D, Home loan NBFCs etc), SEBI (MF, ReITs, InvITs etc), IRDAI & PFRDA, Corporate Affairs ministry (NIDHI), State Governments (chit fund), EPFO, etc.
- A deposit-taking scheme is defined as 'unregulated' if person is asking people to deposit/invest money but he has not registered with any of the above organizations. E.g. builders, jewellers, etc. Act prohibits advertisement & money collection in it. (ऐसी कोई भी बचत योजना जो किसी भी वित्तीय नियंत्रक के दायरे में नहीं आती उसे गैरकानूनी माना जाएगा)
- Penalty upto ₹50 crores and jailtime upto 10 years + attaching the assets to refund depositors within prescribed timelines. (जुर्माना, कारावास, संपत्ति की जब्ती)
- Union to setup an online central database of deposit-taking activities in the country.

19.13 👨🌾👨🔧←(💰🔪) Financial inclusion: Credit (Loans: ऋण)

Self Study? Pillar#1A2: Monetary Policy → PSL. **Pillar#1B1**: Classification → microfinance

19.13.1 (💰🔪)↗️💳=(💰💰) Refinance (पुनर्वित्त)

- When an AIFI (or MUDRA) gives new finance to Banks/NBFCs based on the quantum of finance they (Bank/NBFC) have already given to end-borrowers.
- Usually works via **securitization** of the previous loan papers.

19.13.2 👨🌾👨🔧: 👱 ←(💰🔪) Credit Guarantee (ऋण अदायगी गारंटी)

- Credit Guarantee **Meaning?** if borrower defaults, then losses of banks/NBFCs will be covered by credit guarantor. So, Bank/NBFC can lend confidently without requiring borrower to pledge collaterals.
- Earlier DICGC used to give credit guarantee, but now this work is done other organizations

19.13.3 🔪 Credit guarantee cover increased in 👛Budget-2025:

Beneficiary	Before	After
Micro and Small Enterprises	₹5 cr	₹10 cr
Startups	₹10 cr	₹20 cr
Well-run exporter MSMEs	Nothing / Unknown	₹20 cr

19.13.4 🔪 Financial inclusion: Credit Guarantee Fund for Education Loans (CGFEL)

Upto ₹10 lakh rupee collateral free education loans given to students. NCGTC gives credit guarantee.

19.13.5 🔪Financial inclusion: Credit Guarantee various orgs.

Organization	Credit Guarantee Fund	Loans covered
SIDBI + Govt	Credit Guarantee fund trust for Micro & Small Enterprise (CGTMSE)	Loans to Micro & Small Enterprise
Dept. of Financial Services	National Credit Guarantee Trustee Company (NCGTC)	- Mudra, ECLGS, Stand up India, Skill & Education loans. - Education loan upto Rs.7.50 lakhs is backed by this org.
NCGTC	Credit Guarantee Scheme for MFIs (CGSMFI) (2021)	- Loans given by Microfinance institutions to poor people.
NCGTC	Credit Guarantee Fund Scheme for Skill Development (CGFSSD)	- Loans for skill development.
Commerce Ministry	Export Credit Guarantee Corporation of India fund (ECGC)	Exporters

19.13.6 👻👶🏭 MSME: Definition changed in ATMANIRBHAR (2020)

- 2006: Micro, Small and Medium Enterprises Development (MSMED) Act, 2006 gave definition of micro, small and medium enterprises. It was later changed in 2020 and 2025.

2006 definition	Micro	Small	Medium
Mfg.	**Investment < 25 Lakh**	**Investment < 5 cr**	**Investment < 10 cr**
Services	**Investment < 10 L**	**Investment < 2 cr**	**Investment < 5 cr**
2020	**2020-Atma Nirbhar Reform 👇**		
Mfg & Services Both	**Investment < 1cr & Turnover < 5cr**	**Investment < 10cr & Turnover < 50cr**	**Investment < 50cr & Turnover < 250cr**
2025	**👛Budget-2025: Reform 👇**		
Mfg & Services Both	**Investment < 2.5 cr & Turnover <10cr**	**Investment < 25 & Turnover < 100cr**	**Investment < 125cr & Turnover < 500cr**

in above image, read "<" sign as "NOT MORE THAN (से अधिक नहीं)

Investment: निवेश annual **turnover**: वार्षिक कारोबार

💁‍♀️**FAQ: do I've to remember old definition of 2006 & 20?** Ans. Yes for StatePSC exams as they don't update Question bank frequently.

🔠 **MCQ. Find Correct statement(s) [Prelims'23-SET-A-Q022]**

- - 1) 'medium enterprises' means investments in plant and machinery between ₹15 to 25cr
- - 2) All bank loans to the MSME qualify under the priority sector

Answer Codes: - A) only 1 - ✅ B) only 2 - C) both 1 and 2 - D) neither 1 nor 2.

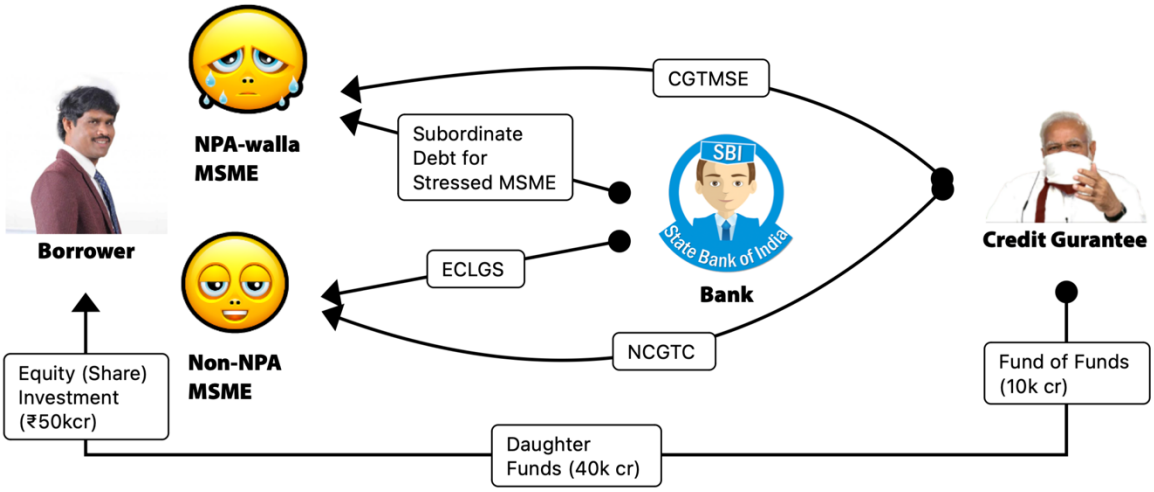
There was some debate about statement, but official answer-key says B.

19.13.7 👻🔪 👶🏭 MSME Non-NPA borrower → ECLGS 1.0

⇒ Corona Lockdown → MSME business hurt → need loans to restart business → Emergency Credit Line Guarantee Scheme (ECLGS: आपातकालीन क्रेडिट लाइन गारंटी योजना).

⇒ 🤦‍♂️Eligibility?

- MSME Previous outstanding loan account can't be more than ₹25 crores, and can't be an NPA. (जिनके लोन-खाते अभी एनपीए/अनर्जक परिसंपति की श्रेणी मे नही है)



⇒ **New/ Extra Loan Amount?** 20% of the outstanding loan.

⇒ **Loan Tenure?** 4 Years (मियादी/समयकाल)

⇒ **Loan Interest?** 9.25% (Bank), 14% (NBFC).

⇒ **Collateral?** Not required. (गिरवी कुछ भी नही रखना होगा)

⇒ If the borrower doesn't repay loan principal or interest⟶ Credit guarantee covered by NCGTC (National Credit Guarantee Trustee Company Limited), a company under the Dept of financial services in FinMin.

19.13.8 👻🔪 👶🏭 MSME Non-NPA borrower → ECLGS 2.0 (Atma-Nirbhar 3.0)

It was launched during the Atmanirbhar Bharat 3.0 package(November 2020)

🤦‍♂️**Eligibility? (Two conditions must be fulfilled simultaneously)**

1) MSME as well as Non-MSME(large) firms operating in
   (a) Healthcare sector (स्वास्थ्य क्षेत्र) OR
   (b) 26 stressed sectors Identified by RBI is KV Kamath committee (e.g automobiles, tourism, cement, gems and jewellery etc तनावग्रस्त क्षेत्र) AND
2) Its outstanding loans are > ₹50 crore - upto ₹ 500 Crore (as on 29.2.2020)

🤩**Benefit?**

✓ Extra 20% loans against outstanding loans. (कर्जा बकाया है उसके सामने 20% अतिरिक्त कर्ज दिया जाएगा)

✓ Interest Rate not explicitly mentioned in Press-Statement. (योजना की प्रेस विज्ञप्ति में स्पष्ट रूप से खुलकर नहीं बताया, तो हमने खुद से गूगल सर्च मारने की कोई जरूरत नहीं है#🕰️थोड़ा-पढ़ो-आगे-बढ़ो)

✓ Repayment tenure of above loan: 5 years including 1 year moratorium on principal repayment. (5 साल में कर्ज चुकाना होगा और उसमें भी 1 साल तक मूलधन चुकाने पर रोक)

19.13.9 🔪💥 ECLGS 5.0 to help MSME & Airlines in Iran War(2026-May)

- Loans upto 100 cr for MSME; upto ₹15000 cr for Airlines (=Non-MSME)
- Tenure: 5–7 yrs. 1 yr moratorium. (एक साल के बाद चुकाना चालू करो)
- Interest 9% bank, 13% NBFC. Loan default pe government guarantee to lender.

19.13.10 👻🔪👶🏭 MSME NPA borrower → Subordinate Debt (गौण ऋण)

ऋण अदायगी गारंटी- उन आर्थिक तनावग्रस्त उधोगों के लिए जिनके लोन-खाते पहेले से एनपीए श्रेणी मे आ चुके है।

⇒ **Beneficiary?** MSME whose loan account is in NPA/ stressed category. लघु/

⇒ Such stressed MSME to be given subordinate loan Upto ₹75 lakhs to revive business.

⇒ **Tenure/Interest?** Not clearly mentioned.

⇒ If the borrower doesn't repay loan principal or interest→ Credit guarantee by CGTMSE (Credit Guarantee Trust for Micro and Small enterprises, an org funded by SIDBI + Govt).

19.13.11 👻💳👶🏭 MSME → Equity infusion via Fund of Funds (निधियो की निधि)

⇒ Govt will set up a Fund of Funds with ₹10,000 crore.

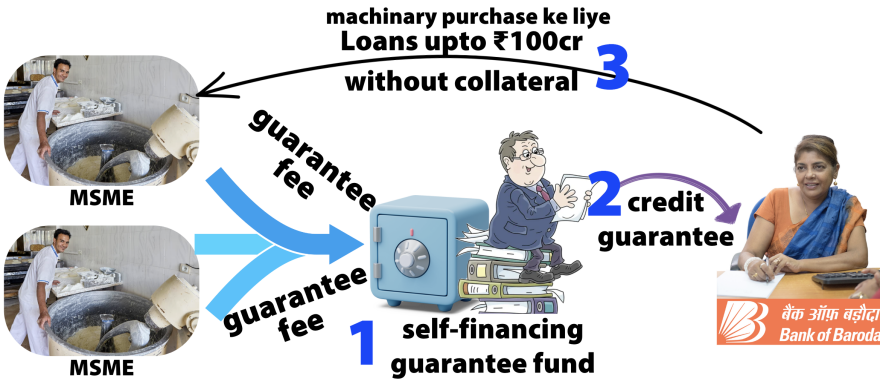
⇒ This FoF will invest in daughter funds (who'll supply ₹40k cr from their funds). So, total 10k+40k=50k equity funding/infusion to MSME. (इक्विटी के रूप में कंपनी में जान फूंकना)

19.14 🏭🔪👛 BUDGET-2024: MSME LOAN ANNOUNCEMENTS

19.14.1 🏭🔪👛 MSME Faster loan approval via digital footprint 👛Budget-2024:

loan application	Before	After (2024 Reform)
MSME loan application assessment	Relied on external agencies for credit-rating/score.	In-house/internal capability built by public sector banks.
Loan approval criteria	Asset or sales of the firm.	Digital footprint of MSMEs (e.g. UPI transactions)
MSME's formal Account book/balance-sheet required?	Yes	Not compulsory.

19.14.2 🏭🔪👛 Budget-2024: CREDIT GUARANTEE FOR MSMEs IN THE MFG SECTOR



Note: exact details yet to be announced. above is rough idea from the budget speech.

19.14.3 🔪🚢 Interest Equalization Scheme for MSME-exporters

basically, government gives 2 to 3% loan interest subsidy to the MSME exporters depending on the type of product, they are exporting. (निर्यातक एमएसएमई ने बैंकों से जो कर्ज़ लिया है उसका कुछ ब्याज सरकार भरेगी।)

Boss? Commerce ministry → Directorate General of Foreign Trade (DGFT) → gives the funds to RBI → RBI releases to the bankers.

> 💡 Note: This handout only deals with 'loan' component of MSME. For other MSME issues/challenges, refer (More in 📄Pillar#4B → MSME)

19.15🚫🏦👨⚖️🚫👨🌾 NBFC → MUDRA (2015, 100% SIDBI SUBSIDIARY)

- Micro Units Development & Refinance Agency. (सूक्ष्म इकाई विकास एवं पून: वित्तपोषण एजेंसी)
- **Objective?** provides indirect lending via SCB, RRB, Cooperative Banks, MicroFinance Inst & other NBFCs. (अनुसूचित वाणिज्य बैंक क्षेत्रीय ग्रामीण बैंक सहकारी बैंक गैर बैंक वित्तीय कंपनियों द्वारा परोक्ष रूप से कर्ज देता है)
- **Ownership?** It's wholly owned by SIDBI, and also receives the funding from PSL-shortfalls via RBI, and budgetary support via Department of Financial Services.
- **Beneficiary?** Micro Enterprises from Agri-allied sectors, mfg & service sector who are not registered under the companies act = Non-corporate type. (जिन्होंने कंपनी कानून में पंजीकरण नहीं करवाया)

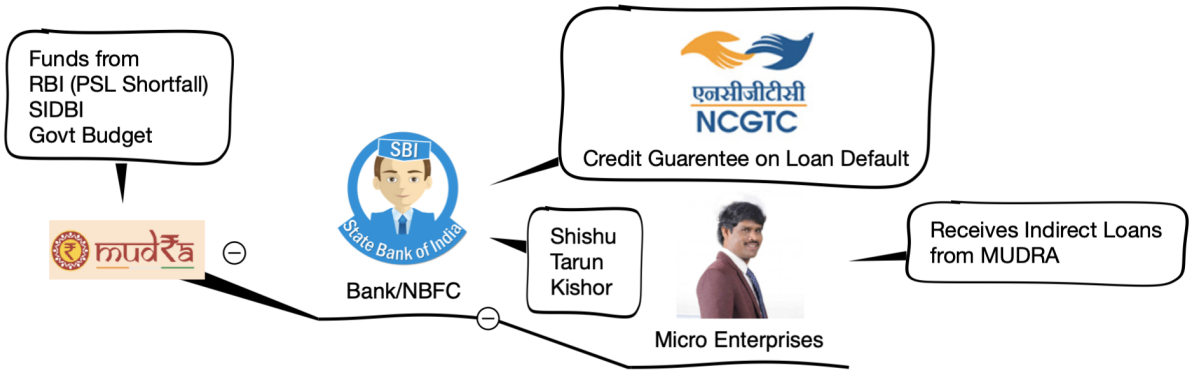


Table 1: Mudra-Products:

Pradhan Mantri MUDRA Yojana	MUDRA Rupay Card
1) **Shishu** : loans upto 50,000/- 2) **Kishor** : >50,000/- upto 5 lakh 3) **Tarun** : > 5 lakh and upto 10 lakhs (later 🔝 to 20 lakh in 👛 Budget-2024^^)	- ATM cum Debit Card issued against MUDRA loan account- for working capital component. - Can be accessed in all modes like a routine debit card (ATM, Point of Sale Device, Online etc.)

- ^^ this ₹20 lakh facility is for those borrowers who repaid previous Tarun loans successfully.
- Mudra loans are collateral-free (जमानत से मुक्त). If borrower defaults on loan, then lender's losses are covered through Credit Guarantee Fund for Micro Units [CGFMU] which is operated by National Credit Guarantee Trustee Company Ltd. [**NCGTC, 2016**]- which is a private ltd company by Dept of Financial Services in Finance Ministry.
- 😰**MUDRA Challenges?** (1) Loan Interests are high (2) Rising NPA/Bad loans.

🔠❓ ***MCQ. Pradhan Mantri MUDRA Yojana is aimed at (Asked in UPSC-Pre-2016)***

a) bringing the small entrepreneurs into formal financial system
b) providing loans to poor farmers for cultivating particular crops.
c) providing pensions to old and destitute persons.
d) funding the voluntary orgs involved in skill development and employment generation.

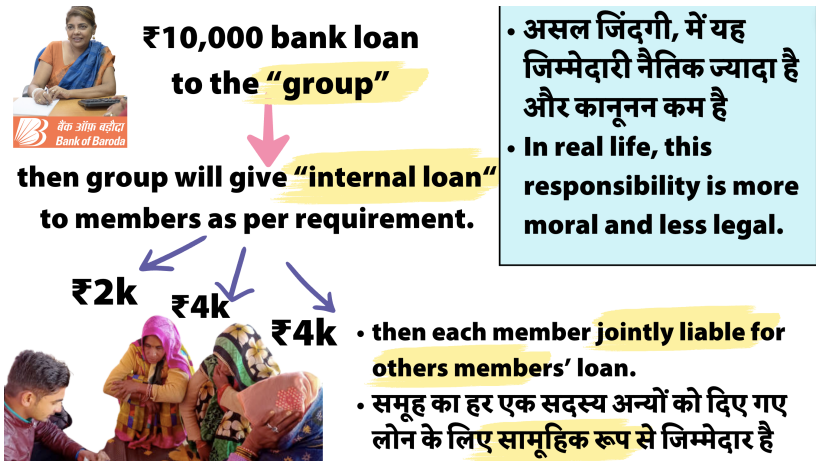
- 🔠 **MCQ. Find wrong for PM Mudra Yojana (PMMY)? (CAPF-2024_SetA_Q105)**
- (a) launched in 2015.
- **(b) loans of up to Rs. 15 lakhs for income generating mfg, trading and services sectors**
- **(c) Under this scheme only the term loan requirements can be met and not the working capital requirements**
- (d) There is no insistence on collateral for the sanction of loan.
- **Note**: this is debatable MCQ because we have to find wrong & there are two wrong statements &
- - **Option (b) wrong:** Mudra max loan ₹ 10 lakh (before 2024), ₹ 20 lakh (after 👛Budget-2024)
- - **Option (c) wrong.** Mudra loan provides debit card for using loan money for working capital. (As per MUDRA's official website.)

19.15.1 👨‍♀️Stand Up India Scheme, 2016 (उत्तिष्ठ भारत)

- **Boss?** FinMin's Dept of Financial Services (वित्तीय सेवा विभाग)
- **Objective?** Each SCB bank branch to give Greenfield Loans between ₹10 lakh and ₹1 Crore to at least 1 SC/ST and atleast 1 Woman entrepreneur with tenure upto 7 years.
- **Collateral?** Bank can ask collaterals. If loan without collaterals, then Credit Guarantee Fund for Standup India (CGFSI) operated by **NCGTC**.
- **Budget-2019:** this scheme extended till 31/3/2025.
- Margin money =is the amount of money that a bizman has to arrange by himself from his own pocket/savings for the given biz-project. Remaining amount is given as a loan by the bank.

💼Budget-2021: 1) ⏬ margin money requirement from 25% to 15%. 2) Agri-biz also eligible.

19.15.2 👭Self-help group (स्व-सहायता समूह) ⟶ Credit



- SHG is an informal group of 10-20 local people to combine their savings/ resources, engage in biz activity like weaving, agarbatti etc अपनी बचत और संसाधनों की मदद से कुछ छोटा उत्पादन करने वाला गरीब लोगों का एक अनौपचारिक समूह
- and not registered in as a firm / company under partnership act or companies act etc.
- 1992: NABARD started SHG-Bank linkage program wherein SHG given loans without collateral.
- Self-Help Groups are formed under the government schemes like National rural livelihood

mission (NRLM). More in Pillar#6]

MCQ: Find Correct [Prelims-23-SET-A-Q074]

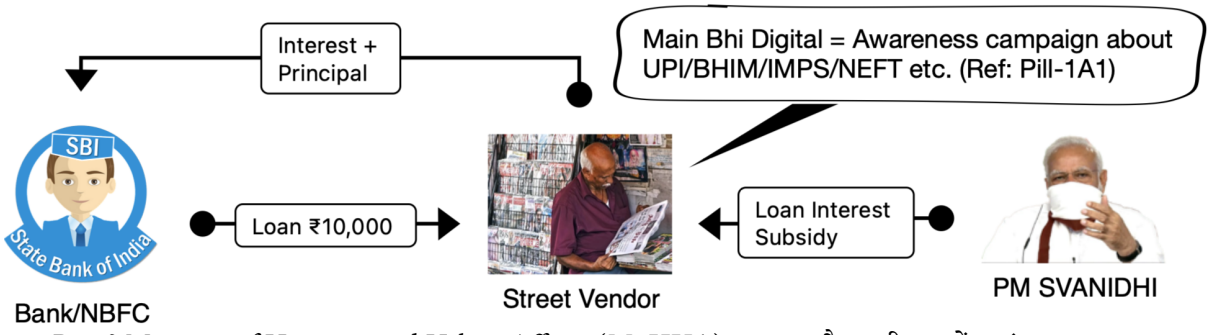
1. The Self-Help Group (SHG) Programme was originally initiated by the State Bank of India by providing microcredit to the financial deprived people.

2. In an SHG, all members of a group take responsibility for a loan that an individual member takes.

3. The Regional Rural Banks and Scheduled Commercial Banks support SHGs.

Codes: (a) Only one (केवल एक) (b) Only two (केवल दो) (c) All three (सभी तीन) (d) None

19.15.3 PM Street Vendors's AtmaNirbhar Nidhi Scheme (PM-SVANidhi)



⇒ Boss? Ministry of Housing and Urban Affairs (**MoHUA**)- आवास और शहरी मामलों का मंत्रालय

⇒ Loan Tenure: 1 year. Repayment to be done on a monthly basis.

⇒ Loan Interest? approx @7.25% & if vendor repays in timely fashion → govt will give 7% interest subsidy in his bank account. (फेरीवाला ने रुण अदायगी नियमित रूप से की तो ब्याज में सरकार राहत/सब्सिडी देगी)

⇒ If vendor repays the loan on time, then he can apply for more loans, as follow:

Cycle	1st cycle	2nd cycle	3rd cycle	Total
Loan Amt	₹10,000	₹20,000	₹50,000	₹80k
Reform (2025)	₹15,000	₹25,000	₹50,000 (no change)	₹90k

Budget-2025: Svanidhi vendors to get ₹30,000 limit ka credit card. (How does it fit in above cycles given in above table. Ans. I don't know, govt has not clarified.

19.15.4 SVANidhi → Main Bhi Digital (2021)

⇒ MoHUA to give ₹₹ to Urban Local Bodies (ULBs: नगरपालिका को शहरी मंत्रालय पैसा देगा)

⇒ To spread digital literacy among street vendors who took SVANidhi Loans e.g. How to use UPI, BHIM, Netbanking. Connect food-street vendors with online e-commerce players like Swiggy-Zomato etc to expand street-vendors' sales etc. (सड़क विक्रेताओं को डिजिटल भुगतान और डिजिटल बिक्री माध्यमों की जानकारी देना)

19.15.5 SVANidhi → Rashtriya Udyamita Vikas Pariyojana (2024)

- Also called PM Svanidhi National Entrepreneurship Development Project.
- Boss? Ministry of Skill Development and Entrepreneurship.
- PM-Svanidhi Wall Street vendors will get 22 weeks of entrepreneurship training on how to expand their business.
- Training Mode? Offline, online, and hybrid (both online + offline).
- Trainees will get a stipend and certificate.

Training partners/org: (1) Flipkart, (2) Indian Institute of Entrepreneurship (IIE), Guwahati, (3) National Institute for Entrepreneurship and Small Business Development (NIESBUD), Noida.

19.16 PM Vishwakarma Scheme for loan & skill training (2023-Sept)

- **Boss?** MSME Ministry
- **Beneficiaries?** 18 trades, viz.(i) Carpenter (Suthar/Badhai); (ii) Boat Maker; (iii) Armourer; (iv) Blacksmith (Lohar); (v) Hammer and Tool Kit Maker; (vi) Locksmith; (vii) Goldsmith (Sonar); (viii) Potter (Kumhaar); (ix) Sculptor (Moortikar, stone carver), Stone breaker; (x) Cobbler (Charmkar)/ Shoesmith/Footwear artisan; (xi) Mason (Rajmistri); (xii) Basket/Mat/Broom Maker/Coir Weaver; (xiii) Doll & Toy Maker (Traditional); (xiv) Barber (Naai); (xv) Garland maker (Malakaar); (xvi) Washerman (Dhobi); (xvii) Tailor (Darzi); and (xviii) Fishing Net Maker.

Entitlements are as follows:

- ✔ Recognition through (A) PM Vishwakarma certificate and ID card. (B) They'll be registered as 'entrepreneurs' in Udyam Assist Portal.
- ✔ Skill Upgradation: Basic Training of 5–7 days and Advanced Training of 15 days or more, with a stipend of Rs. 500 per day;
- ✔ Toolkit purchase ke liye upto Rs. 15,000 e-vouchers at the start of Basic Skill Training.
- ✔ Govt to pay bonus/Incentive of Rs.1 per digital transaction, upto max Rs.100 per month
- ✔ Marketing Support. And Loan support (see next section 👇)

19.16.1 → PM Vishwakarma Loan Interest on PM Vishwakarma

Collateral free 'Enterprise Development Loans' upto ₹ 3 lakhs

Matter	%
A) loan interest paid by beneficiary to banker	5%
B) interest subvention (subsidy) given by government to banker	8%
Total interest earned by banker (A+B) =	13%

FAQ: isn't this illogical if the 5% paid by beneficiaries and 8% paid by govt ? Ans. PIB not bothered to explain "why" part in the scheme document.

19.16.2 Kisan Credit Card (1998)

1998: Launched by RBI +NABARD. Farmer gets credit card from PSB, RRB, State Coop Banks for:

- Can swipe it to buy farm inputs (seeds, fertilizers, pesticides etc.)
- Investment credit requirement for agriculture, Working capital for maintenance of farm assets, Post-harvest expenses, (फसल काटने के बाद होने वाले खर्च)
- Consumption requirements of farmer household; (घर में उपभोग हेतु खर्चे)
- Can withdraw cash (as loan). Money to be repaid with interest.

- Accidental insurance also given.
- Budget-2018: Kisan Credit Card (KCC) extended to Animal Husbandry and Fisheries farmers.

🔠❓ **MCQ. Under the Kisan Credit Card scheme, short-term credit support is given to farmers for which of the following purposes ? (UPSC-Prelims-2020)**

1. Working capital for maintenance of farm assets
2. Purchase of combine harvesters, tractors and mini trucks
3. Consumption requirements of farm households
4. Post-harvest expenses
5. Construction of family house and setting up of village cold storage facility

Codes: [a) 1, 2 and 5 only [b) 1, 3 and 4 only [c) 2, 3, 4 and 5 only [d) 1, 2, 3, 4 and 5

19.16.3 Farm Loans → collateral free loans quota ⍰ by RBI

Matter	Before	From 1/1/2025
Agri & Allied activities (animal, dairy, fishing etc)	₹1.6 lakh	₹2 lakh

Beyond this limit, if farmer needs more loan he has to pledge land, property, gold, fixed deposit certificate (ref1A2), negotiable warehouse receipt (NWR, more in pill4A) etc. as collateral. (इससे अधिक कर्ज़ा चाहिए तो किसान ने कुछ गिरवी रखना होगा)

19.16.4 👩‍🌾🔪 Farmers → Modified Interest Subvention Scheme(MISS/KCC)

Farmer can apply for this loans via bank-branch and/or via Kisan credit Card (KCC)

Short-term Agri-loans	% Interest
loan interest	9%
for every farmer, Govt pays	2%.
effective interest paid by every farmer	9−2=7%
a farmer repaying loan in timely fashion, then govt pays extra	3%
effective interest paid by honest/punctual farmer	9−2−3=4%

19.16.5 👩‍🌾🔪 Farmer → loan quota of MISS-KCC ⇑ in Budget-2025:

Loan quota per farmer	Before	After 👛Budget-2025
Farming	₹3 lakh	₹5 lakh
Allied activities- animal husbandry, dairying, and fisheries.	₹1.60 lakh	no change/not-clarified.

19.16.6 🐯🔪RBI increases loan limits for KCC and micro-small ent (2026)

Matter	Before	After 2026-reform
Kisan Credit Card loan tenure	less, may be 5 years	6 years.
Micro and Small Enterprises (MSEs) Collateral free loans	max ₹10 lakh	₹20 lakhs

👩🏼**FAQ:** Are these numbers imp? Ans. Not very imp for IAS exam, but for Banking exams.

19.17 🌽🔪💰🎈 Farm Loan Waiver (कृषि ऋण माफी)

19.17.1 🌽🔪💰🎈 Agri-Finance → Loan waivers for the farmers

Shifted to Mains. Gist of the matter is that economic survey is opposed to loan waivers because then farmer become irregular in returning the loans, whenever the elections are near.

19.18 🪶👴🏻 Financial inclusion: Insurance & Pension

- Various schemes are given in previous sections: But just to quickly recall the notable terms: **Insurance**: Postal Life, ESIC, PM Jeevan Jyoti & Surkasha Bima (₹2 lakh), PM-JAY (₹5 lakh annual health insurance per family), PM-Fasal Bima (1.5-5% premium);
- **Pension**: EPFO, NPS, Atal Pension (1-5k), PM Shram Yogi Mandhan (3k), PM Vay-Vandana (8%@LIC), Maan-Dhan Yojanas (3k/pm)

19.18.1 🪶🔬 Micro Insurance (सूक्ष्म बीमा)

⇒ Insurance policy may be Life / General Insurance with a very low premium.
⇒ When small sum insured (upto ₹50k) & target audience is poor / villagers / farmers.
⇒ It may be an individual / group based insurance. Intermediaries such as NGO, SHG, MFI help in selling such policy. Policy/ Contracts are given in local language. e.g. LIC's Jeevan Madhur and Jeevan Mangal

19.18.2 🏍️🍴🚕 Gig Workers' social security code (गिग कर्मी की सामाजिक सुरक्षा संहिता)

⇒ **Informal workers** (अयथाविधि कर्मी)= doesn't have formal job contracts with employers. E.g. Domestic Maids, Brick Kiln Workers, Construction Labourers, Chowkidar, Dhaabaa cooks/waiters etc.
⇒ **Gig workers (गिग कर्मी)**= Uber Taxi Drivers, Amazon/Zomato Delivery boys, Urbanclap's beauticians/ plumbers/ AC repairman, Unacademy Educators etc. They are freelancers / independent contractors (स्वतंत्र ठेकेदारों) hired by startup or digital companies for short-term engagements. While they may have some written contract to deliver services to the company, but the contract is worded in such manner they are not "regular employees" of a company = not eligible for EPFO, ESIC etc.

19.18.3 🍕🦽⚖️ Gig Workers definitions in Code on Social Security, 2020

- 'Gig workers', 'platform workers', and 'aggregators' are defined for the first time in this law.
- A gig worker performs work outside of the traditional employer-employee relationship.
- A platform worker is a subset of the gig economy, in Amazon, Flipkart, Swiggy, and Zomato, etc., as drivers and delivery persons.
- Companies will have to register all gig workers in the government portal with an Aadhaar-linked Universal Account Number.
- NITI: 2.35 crore gig workers by 2029–30. More about this law/code in Pillar#4B

19.18.4 🍕🦽💰 Social Security Fund for Gig Workers in Code on Social Security, 2020

Funding sources:	What will gig-workers get?
- Contributions from Central & state govts - corporate social responsibility, fines, etc. - Aggregators like Amazon, Flipkart, Swiggy, Zomato, etc., need to contribute 1–2% of their annual turnover to this fund.	- Workers will get life insurance, disability insurance, health and maternity benefits, and provident fund from it. - Accidents while traveling between home and workplace are also covered.

19.18.5 👛Budget-2025: Loans, Financial inclusion, MSME, Gig-worker

Target	Announcement
Gig-workers	will get free ₹5 lakh Health insurance under PM Jan Arogya Yojana, IF they register on Labour ministry's e-Shram portal.
Farm loans under KCC/MISS	limit raised from ₹3 lakh to ₹5 lakh.
Dak Sevaks/Postmen	will focus on financial inclusion of rural India.
MSME new definition	Investment and turnover limits enhanced to 2.5 and 2 times respectively.
credit guarantee cover	Increased for the MSME and Startups
New Entrepreneurs	Scheme for First-time Entrepreneurs from women, SC & ST will be given loans up to ₹2 crore. (this is probably a new & different scheme from stand-up India, but govte yet to announce
New Credit cards	PM SVANidhi vendors: credit cards with ₹30,000 limit. Micro enterprises: credit card with ₹5 lakh limit.

19.18.6 ⚖️ UNORGANISED WORKERS' SOCIAL SECURITY ACT, 2008

- Requires union to setup National Social Security Board under chairmanship of Labour Minister (श्रम मंत्री की अध्यक्षता में राष्ट्रीय सामाजिक सुरक्षा बोर्ड।)
- Requires the States to setup similar boards at State level- to look after the social security benefit of the unorganised sector workers. (राज्य स्तर पे भी ऐसे बोर्ड का गठन)
- require setting up set up a National Social Security Fund for unorganised sector workers with an initial allocation of Rs 1000 crore. Similar funds at State level.(राष्ट्रीय सामाजिक सुरक्षा कोष)
- Law requires the union government to enact various schemes for (a) life and disability cover; (b) health and maternity benefits; (c) old age protection for these workers. ()

Sr	Name	Description
1	Indira Gandhi Old Age Pension Scheme	learned under NSoAP
2	National Family Benefit Scheme	learned under NSoAP
3	Janani Suraksha Yojana	BPL women given money to delivery child @hospital. (Ref: Pillar#6A for more)
4-7	4) Schemes for Handloom Weavers, 5) Handicraft Artisans, 6) Master craft persons, 7) Fishermen: but not enough not enough exam worthyGK	
8	Janshree Bima Yojana	merged with Aam Admi Bima Yojana in 2013

Sr	Name	Description
9	Aam Admi Bima Yojana	LIC + Govt of India's scheme for unorganised sector workers.
10	Rashtriya Swasthya Bima Yojana	subsumed/merged inside the PM-JAY ₹5 lakh health insurance.

FAQ: Most of these schemes are low-profile / outdated / merged → then why government not updating the law with latest schemes' list? Ans. Send suggestion to PM.

MCQ. Which one of the following schemes is not a Social Security Scheme under the Unorganised Workers' Social Security Act, 2008? (EPFO-2023) *(a) National Family Benefit Scheme (b) Janshree Bima Yojana (c) Employees' Pension Scheme (d) Rashtriya Swasthya Bima Yojana*

19.19 : Financial Inclusion: Customer Protection (ग्राहक सुरक्षा)

Sector	Protector
Share/commodity	(1) SEBI's SCORES Portal→ SEBI→SAT (2) Ombudsman under Securities Markets Code'25.
Insurance	Insurance Ombudsman via IRDAI Act '1999, hears matters upto ₹30 lakhs. If higher claim then consumer courts / other courts. Higher appeal against IRDAI → SAT
Pension	If EPFO- then its internal machinery. If NPS: NSDL→ PFRDA. If pvt sector pension company's scheme: PFRDA → SAT.
Bank/NBFC	RBI's Ombudsman: Bank, NBFC, Digital Transaction (given below)

19.19.1 RBI's 3 Ombudsman (ओमबड्समेन/ शिकायत निवारण अधिकारी/लोक प्रहरी)

- 2021-Feb: BEFORE: RBI appointed 3 types of ombudsman for consumer complaints: (i) Banking Ombudsman Scheme (ii) NBFC Ombudsman (iii) Digital Transaction Ombudsman. After: Integrate these 3 into a One Nation One Ombudsman / Integrated Ombudsman Scheme (एकीकृत शिकायत निवारण अधिकारी योजना)

19.20 Financial Inclusion: WEB Portals

19.20.1 PaiSA Portal (2018) Outdated. Deleting it.

19.20.2 psbloansin59minutes.com (2018)

portal by SIDBI & 5 PSBs. GST-registered MSME get loans 10L to 1 cr. Without collaterals. if loan approved then ₹1000 fees need to be paid

19.20.3 Jan Samarth Portal (2022)

⇒ Finance Ministry's single portal to help beneficiaries to apply for various Government loan schemes for Education Loans, Agriculture Loans, Business Activity (livelihood) Loans, etc.

⇒ It connects borrower with 125+ banks and NBFCs for loan application.

⇒ When person applies for business loan, the portal cross-checks his UIDAI-Aadhar number, income tax, GST, UDYAM (MSME registration number), CIBIL credit score etc data/scores for

faster loan processing

19.20.4 🤳 Portal: SARTHI (Insurance) Portal for farmers and villagers (2024)

- Boss? Agri ministry, with the help of UNDP India (United Nations Development Programme).
- Helps farmers/villagers to buy crop insurance, insurance for life/health/tractor/shop, etc.

19.20.5 📲🌤️ Portal: PM-SURAJ loan portal for weaker section (2024-Mar)

- Boss? Ministry of Social Justice and Empowerment
- Pradhan Mantri Samajik Utthan and Rozgar Adharit Jankalyan' (PM-SURAJ) portal
- Target? Give loans to 1 lakh entrepreneurs hailing from disadvantaged communities such as SC/ST/OBC/Nomadic tribes etc.
- The loan will be given by the Bank/NBFC. Loan interest subsidy/credit guarantee may be given by the Social Justice Ministry.

19.20.6 👨‍⚖️♿ Financial inclusion: right to digital access - SC Judgement (2025)- ref Mains HDT

REFER to mains handout.

19.21 📈🌐🦁 Financial Inclusion: various reports (भारत का प्रदर्शन)

I'm not writing the ranks here because it will be very poor cost benefit memorising it for exam.

Global Microscope Report	The Economist Magazine's Economist Intelligence Unit, Accion global NGO &partners like Bill & Melinda Gates Foundation,
Global Findex Database	World Bank with help of Bill & Melinda Gates Foundation
Global Pension Index	Mercer CFA Institute, Canada. India's index value decreased from 45.9 in 2023 to 44 in 2024 says 📘ES25.
Indian Govt's Index	Fin Inclusion Index by FinMin->Dept of Financial Services
RBI's Financial Inclusion Index (2021 onwards)	• 3 parameters: Access, usage and quality. • Score 0% = total pathetic. 100% = full financial inclusion. • Value ⬆️ from 64 (2024) to 67 (2025) • RBI also released "National Strategy for Financial Inclusion"
RBI Financial literacy week every feb	• GPSC asks such theme. • 2025 theme: Financial Literacy - Women's Prosperity • 2026 theme: KYC – Your First Step to Safe Banking.

🔠 **MCQ. (IAS-2026) Which are parameters of Financial Inclusion Index (FI-Index) of RBI?**

(a) Credit access, Insurance depth, and Pension coverage

(b) Banking access, GDP contribution, and Financial literacy

(c) Access, Usage, and Quality (d) Access, Affordability, and Transparency

19.21.1 ✍️ Mains Answer Writing ki pipudi

Questions centered around benefits of various government schemes, reforms to improve financial inclusion, arguments in favour and against the FDI in insurance sector, merits/demerits of giving farm loan waiver etc. This handout deals with only prelims. Separate course for mains.

NEXT Handout: Pillar2: Budget, Taxation